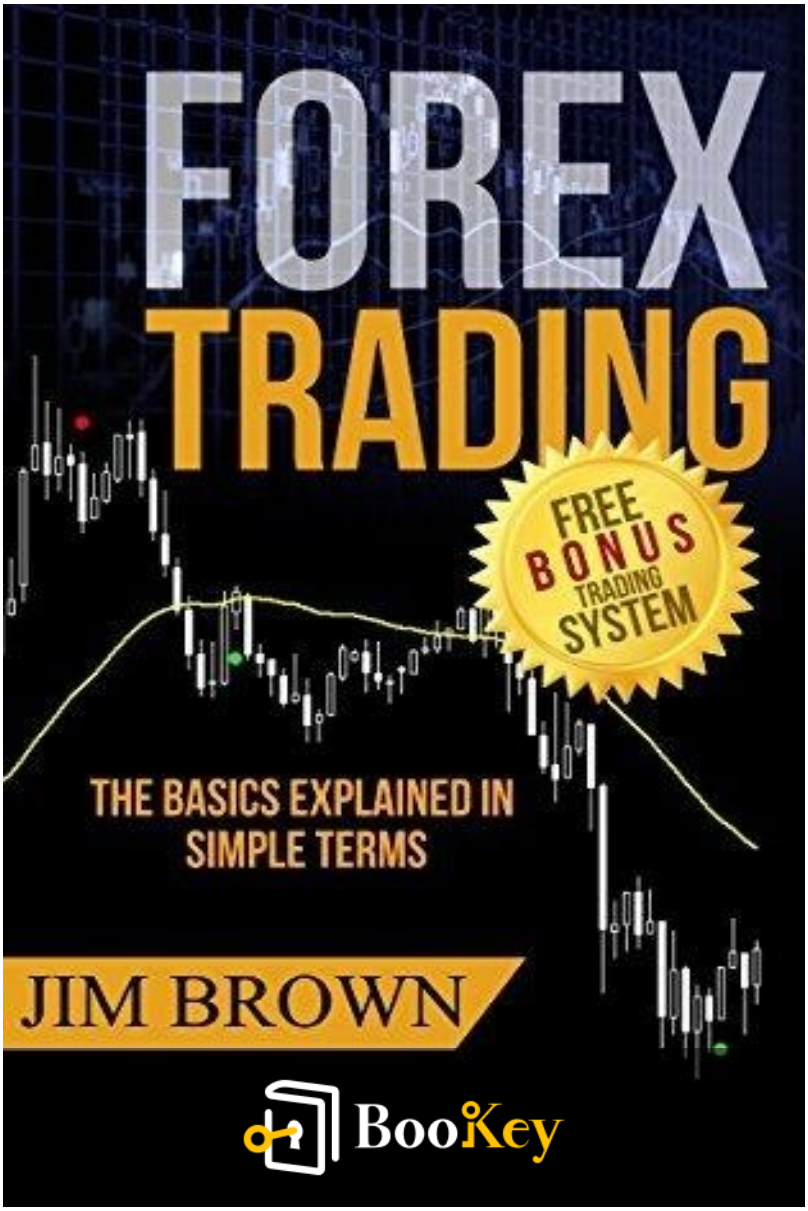
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Unlocking Forex Success: Simple Strategies and Community Support.

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About the book

Discover the essentials of Forex trading with Jim Brown's best-selling guide, praised for its clear, approachable style. This book serves as an invaluable resource for newcomers, offering a straightforward introduction to currency trading amidst the overwhelming information available online. Jim generously shares his custom indicators for the MT4/MT5 MetaTrader platforms and TradingView at no additional cost, along with access to his thriving JAGfx Facebook Group, where thousands of traders—both novice and experienced—engage daily. As a seasoned trader who has evolved from manual charting to automated systems, Jim invites readers to join him in live trade calls, analyze results, and benefit from regular instructional videos. With a commitment to fostering a supportive learning environment, he provides a complimentary trading system and indicators, ensuring readers have the tools they need to embark on their Forex journey. Join Jim in demystifying Forex trading and cultivate your skills with this essential first read.

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About the author

Jim Brown is a seasoned forex trader and educator, renowned for his expertise in the foreign exchange market. With over two decades of experience, he has dedicated his career to helping aspiring traders navigate the complexities of forex trading through practical strategies and insightful guidance. As an author and trading coach, Brown has made significant contributions to the trading community, offering invaluable resources that simplify the intricacies of forex markets. His passion for teaching and commitment to empowering others is evident in his writing, positioning him as a trusted voice for both novice and experienced traders seeking to enhance their trading performance.

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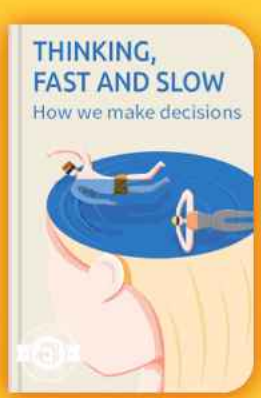
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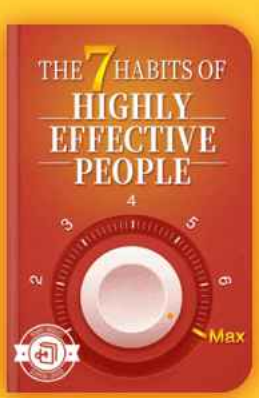
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Chapter 1 Summary : CUSTOM INDICATORS REQUIRED



Custom Indicators Required

To successfully trade using this method, several custom indicators are needed, which will be provided in a downloadable package at the end of the book. Readers interested in creating their own custom indicators based on the supplied MT4 coded indicators can request the source code to work with a programmer of their choice.

Moving Averages

The trading method utilizes multiple Moving Averages, a

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default indicator available on most trading platforms, which have proven effective over time. An MT4 template will be included to ensure consistency in chart appearance, although traders have the option to design their own setup if preferred.

Additional Tools

The package also contains a customized Excel spreadsheet designed for managing multiple trades and an additional MT4 indicator, i-ParamonWorkTime, to assist with trading during specific times. While not essential, it can facilitate the trading process.

Instructions for Loading Indicators

Comprehensive instructions for loading custom indicators and templates on MT4, MT5, or TradingView are provided at the end of the book. Following these guidelines should prevent common issues; however, readers may reach out for support if they encounter difficulties.

Mac Users

The author acknowledges limitations in providing

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Mac-specific guidance. A user experienced challenges with template installation and found success using PlayonMac for the MT4 platform. Detailed steps for Mac users will be included in the FAQs section of the Facebook group for further assistance.

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Chapter 2 Summary : MY THOUGHTS ABOUT INDICATORS



My Thoughts About Indicators

Lagging Nature of Indicators

Many traders believe that all indicators lag because they react to price movements after they occur, potentially resulting in missed opportunities. While there is some truth to this belief, particularly with tools like Moving Averages, indicators should not be dismissed entirely. When used together, they can enhance trading strategies.

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Price Action vs. Indicators

Critics of indicators often rely on price action for trading signals. It's essential to recognize that while price is crucial, it can also bypass key technical levels such as support, resistance, Fibonacci levels, or trend lines. Both indicators and price action have their merits and drawbacks, and no one can predict future price movement with certainty.

Personalized Trading Approaches

Each trader has unique perspectives, risk tolerances, and methods that work for them. The effectiveness of a trading strategy can vary significantly from one trader to another. The author proposes a straightforward mechanical trading method that favors clear entry rules based on indicators or specific chart patterns, minimizing uncertainty at the entry point.

The Importance of Patience, Courage, and Discipline

A key principle in trading is to exhibit patience in waiting for the right setup, courage to execute the trade, and discipline to

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adhere to the trading method consistently. This discipline extends to all aspects of trading, including risk management and personal well-being, underscoring the holistic approach required for successful trading.

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Example

Key Point:Lagging indicators can hinder timely trading decisions if relied upon too much.

Example:Imagine you're watching the Forex market and see a noticeable price drop. An indicator, like a Moving Average, confirms this downturn after it has already occurred. You realize that if you were relying solely on this indicator, you would have missed the perfect opportunity to sell. This highlights the key point that while indicators provide valuable data, they should complement your understanding of price action instead of leading your decisions; thus improving your overall trading strategy.

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Critical Thinking

Key Point:The Role of Indicators in Trading Strategies

Critical Interpretation:Jim Brown emphasizes that while indicators are often criticized for lagging, they can still be valuable when integrated thoughtfully with other methods like price action. This perspective invites skepticism; after all, the utility of indicators can be subjective and varies among traders. There's a risk of over-reliance on these tools, which may lead to missed opportunities if market conditions change. Perspectives differ notably within trading communities, with some studies, such as those seen in "Technical Analysis of the Financial Markets" by John J. Murphy, suggesting a mix of indicators and discretionary approaches can yield better outcomes. Thus, while Brown's approach holds merit, it’s crucial to remain open to diverse strategies and maintain a critical mind regarding the effectiveness of indicators.

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Chapter 3 Summary : TRADING WITH THE TREND AND TREND IDENTIFICATION

Section	Content
Overview of Trend Trading	Successful strategies involve trading pullbacks in the direction of the main trend (buying dips in an uptrend and selling retracements in a downtrend). It is generally advisable to trade with the prevailing trend.
Identifying Major Trends	Traders should use three Moving Averages (50 EMA, 100 EMA, 240 LMA) to identify major trends. Proper stacking of these MAs indicates a clear trend, and traders should focus on pairs with a clear MA arrangement.
Using Additional Confirmation	Additional confirmation is recommended for trade reliability, especially in shorter time frames. The QMP Filter combines MACD Platinum and QQE Adv. indicators to enhance trend identification.
QMP Filter Details	The QMP Filter syncs signals from QQE Adv. and MACD Platinum indicators, generating trade signals based on their alignment. Proper installation and display of these indicators are crucial for analysis.
Conclusion	Using MAs for trend identification and the QMP Filter for confirmation can significantly improve trading outcomes by enabling informed decision-making based on market conditions.

TRADING WITH THE TREND AND TREND IDENTIFICATION

Overview of Trend Trading

Successful trading strategies often involve trading pullbacks or retracements within a dominant trend. In an uptrend, traders look for small dips to buy, anticipating the trend's continuation, while in a downtrend, they wait for upward

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retracements to sell, again expecting the trend to persist. Although traders can choose to trade against the trend, it is generally advisable to follow the prevailing direction.

Identifying Major Trends

To identify major trends, a combination of indicators is recommended. The author prefers using three Moving Averages: the 50 EMA, 100 EMA, and 240 LMA. The trend direction is determined by the arrangement of these MAs—if they're stacked appropriately, it indicates a clear trend. Traders should focus on pairs where MAs are stacked and can disregard those without clear trends.

Using Additional Confirmation

While moving averages can effectively determine trends, additional confirmation can enhance trade reliability.

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Chapter 4 Summary : WHAT YOUR CHART SHOULD LOOK LIKE

Section	Details
Chart Requirements	Chart must include: 3x Moving Averages (MAs) QMP Filter dots on the price chart MACD Platinum indicator below the price chart
Example Setup	1-hour chart displaying setups with yellow arrows indicating: Upward yellow arrow: Blue dot on Daily chart (buy signal) Downward yellow arrow: Red dot on Daily chart (sell signal) To activate arrows, set desired input in 'Higher Time Frame' field.
Trend Trading Strategy	Follow these strategies based on Moving Averages and yellow arrows: Upward stacked MAs with yellow arrow: Focus on buy trades. Downward stacked MAs with yellow arrow: Focus on sell trades. Trade with trends but be cautious of reversals; evaluate clearly in case of conflicting signals.

WHAT YOUR CHART SHOULD LOOK LIKE

To effectively utilize my template, your chart should resemble the provided screenshot. Note that the yellow arrows will appear only if a Higher Time Frame Filter is selected on the QMP Filter; otherwise, the default setting is ‘None’. Key elements to have on your chart include:

- 3x Moving Averages (MAs)
- QMP Filter dots on the price chart

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- MACD Platinum indicator below the price chart

Example Setup

The example shows a 1-hour chart with a complete setup. Yellow arrows indicate daily chart setups when the QMP Filter is applied to that timeframe:
- An upward yellow arrow corresponds to a blue dot on the Daily chart.
- A downward yellow arrow corresponds to a red dot on the Daily chart.
To activate the higher time frame filter and see the yellow arrows, input your desired setting in the ‘Higher Time Frame’ field of the indicator's inputs tab.

Trend Trading Strategy

- If the Moving Averages are stacked upwards and aligned with an upward yellow arrow, focus on buy trades on the 1-hour chart.
- If the Moving Averages are stacked downwards with a downward yellow arrow, focus on sell trades on the 1-hour chart.

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Always aim to trade with the trend, but be aware that all trends will eventually reverse. In case of conflicting signals, consider stepping back to evaluate other pairs or waiting for clearer trends.

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Chapter 5 Summary : LOOKING FOR TRADE ENTRIES

Section	Summary
LOOKING FOR TRADE ENTRIES	Focus on finding trade entries after the trend is established.
Trade Entries in Up Trends	Identify blue dots on MACD Platinum below zero for buy signals, confirmed by QMP Filter. Place trades at new candle open after confirmation.
Trade Entries in Down Trends	Look for red dots on MACD Platinum above zero, confirmed by QMP Filter for sell signals, mirroring the buy signal detection process.
Implementation and Testing	Use provided indicators and templates across time frames for potential setups; method is simple but not foolproof.
Trade Management Considerations	Discusses low-risk traditional and high-risk strategies that increase position size on unfavorable trades.
Conclusion	Offers a straightforward framework for developing a personalized trading system that can be refined.

LOOKING FOR TRADE ENTRIES

Once the trend is established, focus shifts to finding trade entries.

Trade Entries in Up Trends

In an uptrend, identify blue dots on the MACD Platinum below the zero level, indicating a potential buy signal. A trade is only executed when a QMP Filter blue dot is confirmed at candle closure. Typically, MACD Platinum dots

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appear before the QMP Filter blue dot, though simultaneous occurrences can happen. When a QMP Filter blue dot confirms, the buy trade is placed at the open of the new candle. For anticipation of a QMP Filter dot, adding the QQE Adv. indicator to the chart can help, as it displays the impending cross that leads to the red or blue dot on the price chart.

Trade Entries in Down Trends

Conversely, in a downtrend, look for red dots forming on the MACD Platinum above the zero level, followed by a confirmed red dot on the QMP Filter. The process mirrors that of detecting a buy signal, but in reverse.

Implementation and Testing

The chapter provides necessary indicators and a template for you to apply across various time frames, allowing for evaluation of potential setups. Although the method yields a significant number of successful trades due to its simplicity, it is not infallible.

Trade Management Considerations

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The text also covers trade management strategies, including both a low-risk traditional approach and a high-risk alternative that increases position size when trades move unfavorably.

Conclusion

This approach offers a straightforward framework for creating a personalized trading system that can be refined over time.

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Example

Key Point:Identifying trade entries in established trends is crucial for successful forex trading.

Example:Imagine you're analyzing charts; as you spot blue dots appearing under the zero level on the MACD Platinum during an uptrend, you feel excitement building. You wait patiently for the QMP Filter to confirm with its blue dot at candle closure, and when that signal lights up, you swiftly place your buy order at the next candle's open, visualizing the potential profits ahead. This systematic focus on trade entries ensures you seize opportunities when the market moves in your favor, substantially increasing your chances of success.

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Chapter 6 Summary : METHOD NO . 1 (LOWER RISK)

METHOD NO. 1 (LOWER RISK)

Overview

This trading method focuses on executing buy and sell signals in alignment with market trends while incorporating a structured money management strategy.

Risk Management

- Place stops at strategic points based on personal analysis (e.g., above/below signal candle highs/lows, recent fractals, or moving averages).
- Manage open trades using hard profit targets, trailing stops, or key levels like Fibonacci, Support and Resistance, and Pivot Levels.

Trade Management

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- Each buy or sell signal is treated as a distinct trade, managed separately with tight stops to clearly define risks.
- A desirable scenario includes alternating signals on the MACD Platinum indicator around the zero level, simplifying trading decisions.

Trend Considerations

- In case of a trend reversal, the stop loss will protect against losses, halting new trades until a new trend emerges or the original trend resumes.
- The approach allows trading from both sides of MACD Platinum during flat or indecisive market conditions, promoting a smart and safe trading methodology.

Visual Aids

- An example figure illustrates transitioning between trades on the MACD Platinum indicator.

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Example

Key Point:Implement a structured money management strategy to manage risk effectively in Forex trading.

Example:Imagine you are preparing to execute a buy trade based on a recent bullish signal, but before you commit, you confidently set a stop-loss order just below the most recent low, which you analyzed thoroughly. By managing your risk this way, you safeguard your capital while being ready to capitalize on profitable opportunities, consistently checking your trade against key levels like Fibonacci to ensure it aligns with prevailing trends as you monitor MACD Platinum signals.

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Chapter 7 Summary : METHOD NO . 2 (HIGHER RISK)

METHOD NO. 2 (HIGHER RISK)

Overview

Method No. 2 is a high-risk trading strategy that requires strong money management skills, as it involves adding to potentially losing positions. This method may not suit everyone but can be effective if executed with discipline.

Execution of the Strategy

- Instead of setting a hard stop loss for the initial trade, either no stop loss or a distant catastrophe stop loss is used.
- Example: A trader opens a sell trade (1x unit) based on a confirmed red dot from MACD Platinum and QMP Filter. If the price increases, they may take another sell trade for 3x units when conditions become favorable again.
- The position can potentially grow, emulating a Fibonacci

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sequence (1, 3, 5, etc.), resulting in a total short position (e.g., 0.9 lots).

Trade Management

- All trades should be treated as a basket to manage risk effectively.
- A downloadable Excel spreadsheet is provided to help calculate break-even points or targets.
- Upon reaching the break-even level, traders should look for opportunities to minimize risk or exit.

Risk Considerations

- Continuous monitoring of trades is essential due to the high number of positions in one direction.
- Identifying and capitalizing on bullish divergences may provide exit opportunities even after missing initial break-even points.

Important Note

- Following additional testing, it is advised to use this high-risk method only with the trend or in instances of

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Hidden Divergence confirmation.
- The introduction of hedge trades can help lock in losses and provide downside protection while waiting for more advantageous setups.

Additional Resources

- Videos on the author's YouTube channel provide more insights into this trading method, laying out its risks and potential protective strategies.

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Chapter 8 Summary : THE THEORY BEHIND THE METHOD

THEORY BEHIND THE METHOD

The MACD Platinum indicator is based on the principle that it tends to revert to the zero level after moving away from it, much like a rubber band. This behavior suggests that the indicator oscillates between extremes, indicating potential overbought or oversold conditions.

MARKET PAIR ANALYSIS

Different currency pairs exhibit varying volatility and trends. For instance, low volatility pairs like NZD/CAD can support trading in multiple directions without focusing heavily on trend direction. In contrast, high volatility pairs such as GBP/JPY may require traders to align with prevailing trends despite oscillations of the MACD Platinum.

TRADING FRAMEWORK

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The author emphasizes that the trading method presented serves as a flexible framework. Traders are encouraged to adapt the ideas and indicators to suit their personal trading styles. Developing comfort and expertise with a single trading method is crucial.

PROCESS FOR PROFICIENCY

To master a trading strategy, extensive practice through historical chart analysis and forward testing is recommended. Traders should not risk significant capital until they feel confident and skilled with their chosen method.

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Chapter 9 Summary : THINGS TO CONSIDER USING METHOD NO . 1 (LOWER RISK)

10 THINGS TO CONSIDER USING METHOD NO. 1 (LOWER RISK)

Key Considerations for Trading Signals

- Trading signals tend to be more reliable when the price approaches or touches the moving averages (MAs).
- If the price is significantly distant from the nearest MA and a new trade signal appears, it might be wise to hold off on that trade as the price is likely to return to the MAs, offering a better entry point later.
- Focus on selecting trades that present good setups rather than taking every trade available.

Utilizing Trend Lines

- Consider drawing trend lines on your charts and only

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executing trades upon the break of these lines.
- You can choose to use trend lines that correspond to either your trading timeframe or a higher timeframe, depending on your strategy.
- Keep your trend line drawing methods simple and consistent; there's no need to be excessively precise.
- The author prefers to draw trend lines from extreme highs or lows while using the main candle body for touchpoints, disregarding wicks/shadows.

Visual Examples

- Figures 13 and 14 illustrate price returning to MAs in both uptrending and downtrending markets.
- Figures 15 and 16 demonstrate trend line breaks leading to counter-trend trading opportunities (Sell and Buy trades, respectively).

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Chapter 10 Summary : DIVERGENCE

11 DIVERGENCE

Understanding Divergence

Divergence is a crucial concept in Forex trading, indicating a disconnection between actual price movements and the MACD Platinum indicator. It often serves as a powerful confirmation tool when trading.

Types of Divergence

-
Regular (Standard) Divergence
: A more straightforward type that traders frequently monitor.
-
Hidden Divergence
: More challenging to identify but equally important in trading decisions.

Practical Application

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While divergence can be a reliable signal, it is advisable to seek additional confirmation before acting. The author emphasizes the importance of observing divergence in their trading strategy and suggests its inclusion as a complementary method alongside other trading techniques.

Resources for Further Learning

The author recommends the third book in the series, "Trading Forex with Divergence on MT4/MT5 & TradingView," which delves deeper into the subject, providing numerous setups and examples.

Integration with Other Trading Methods

Traders who utilize various methods such as candlestick patterns, Elliot Wave analysis, or Fibonacci levels may find value in incorporating divergence into their strategies. The author encourages exploration of these methodologies, noting a personal preference for using Fibonacci tools on Daily charts for better price insight.

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Critical Thinking

Key Point:Divergence as a Confirmation Tool in Forex Trading

Critical Interpretation:While Jim Brown posits that divergence is a vital confirmation tool in Forex trading strategies, it's essential to approach this with caution. Divergence signals can often lead to false positives due to market unpredictability, suggesting that relying solely on this method without considering broader market factors may not yield consistent results. Alternative perspectives, such as those found in the works of technical analysts like John Murphy, highlight that integration of multiple analysis methods often yields more reliable outcomes, emphasizing the need for traders to remain skeptical of any singular technique.

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Chapter 11 Summary : TRADE MANAGEMENT AND EXIT

Section	Summary
Importance of Trade Management	Effective trade management and exit strategies are more critical than trade entry. Successful traders excel in managing trades after entry.
Handling Losses and Gains	Traders find it challenging to cut losses quickly and let winners run due to psychological barriers, often holding onto losing trades and closing winning ones prematurely.
Personal Approach to Trading	Traders should self-test and develop personal strategies rather than be influenced by others, acknowledging the psychological challenges in trading decisions.
Learning from Mistakes	Mistakes are part of trading; learning from them is crucial. Repeating the same mistake involves reassessing strategies after the third occurrence.
Stop Placement Strategies	Stop placement is a personal choice influenced by various factors, vital for managing risk effectively.
Money Management Basics	It's recommended to risk 1% to 2% of the account balance per trade. Position size calculators can aid in risk assessment.
Handling Multiple Trades and Correlation	Traders must be aware of overall risk when trading multiple correlated positions and are advised to keep position sizes small to reduce stress.

12 TRADE MANAGEMENT AND EXIT

Importance of Trade Management

Contrary to common belief, trade entry is less critical than effective trade management and exit strategies. While having the correct trade direction is ideal, the distinction between successful and unsuccessful traders lies in how they manage trades post-entry.

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Handling Losses and Gains

The adage of cutting losers quickly and letting winners run holds true, yet it is challenging in practice. Traders often struggle with the psychological barriers of holding onto losing trades while prematurely closing winning trades.

Personal Approach to Trading

Traders should engage in self-testing and establish strategies that work personally for them, rather than succumbing to external influences. Psychological challenges are inherent in trading, causing even experienced traders to reflect on their decisions with confusion.

Learning from Mistakes

Mistakes are part of the trading process, and the goal is to learn from them to avoid repetition. However, it's acceptable to make the same mistake occasionally, but a third occurrence should trigger a reassessment of strategies.

Stop Placement Strategies

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Stop placement is a personal decision influenced by various factors such as recent highs/lows, moving averages, Fibonacci levels, and other indicators. Effective stop placement is crucial for managing risk.

Money Management Basics

While a detailed discussion on money management is beyond the scope, basic guidelines suggest risking about 1% to 2% of the account balance on individual trades. Tools like position size calculators can simplify risk assessment.

Handling Multiple Trades and Correlation

When trading multiple positions on the same pair or correlated pairs, traders must consider the overall risk, ensuring they have sufficient capital to continue trading after losses. Keeping position sizes small is advised to avoid undue stress from open trades.

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Critical Thinking

Key Point:Trade exit strategies are more significant than entry points.

Critical Interpretation:While the author emphasizes the superiority of trade management over entry tactics, it's crucial to approach this assertion with caution. Many successful traders highlight the importance of precise entry points as foundational to a sound trading strategy. Market timing and conditions can significantly influence the effectiveness of exit strategies, suggesting that a balanced approach encompassing both entry and exit is essential. Critics of an overly simplistic view on trade management argue that neglecting entry tactics can lead to missed opportunities and increased risk exposure (see 'Market Wizards' by Jack D. Schwager for contrasting insights on entry significance). Thus, while Jim Brown provides valuable insights, readers should critically evaluate the context of trade management against the importance of educated entry decisions.

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Chapter 12 Summary : RE - ENTRIES AND USE OF TREND LINES

RE-ENTRIES AND USE OF TREND LINES

When traders are stopped out but the original buy or sell signal remains valid, they should consider looking for re-entries rather than dismissing the trading opportunity. This can involve placing a Buy or Sell Stop order to automatically re-enter the trade if the price moves favorably. Alternatively, traders might use a trend line and wait for a confirmed break for a re-entry, ensuring that they reassess their stop loss and possibly adjust their position size according to their money management plan.

Understanding Order Types

On the MT4 platform, various order types exist:

-

Market Order

: Executed immediately at the current price.

-

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Buy Stop Order

: Placed when the current price is below the desired entry point, anticipating a price increase.

-

Buy Limit Order

: Set when the price is at a certain level, with the expectation of a price drop before a rebound upward.

-

Sell Stop Order

: Placed when the current price is above the desired entry level, waiting for a price drop to fill the order.

-

Sell Limit Order

: Set at a level above the current price, anticipating a drop after order fulfillment.

Traders typically prefer Stop Orders to catch trades in the direction of the trend.

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Example

Key Point:Consider re-entering a trade after being stopped out.

Example:Imagine you've just been stopped out of a trade, feeling frustration wash over you. However, you notice that your original buy signal is still valid. Instead of giving up, you decide to place a Buy Stop order just above the recent high, ready to take advantage of the market moving in your favor once again. As the price climbs and your order gets triggered, you feel a rush of excitement, knowing you’re back in the game with a clearer strategy, prepared to adjust your stop loss and position size according to your trading plan.

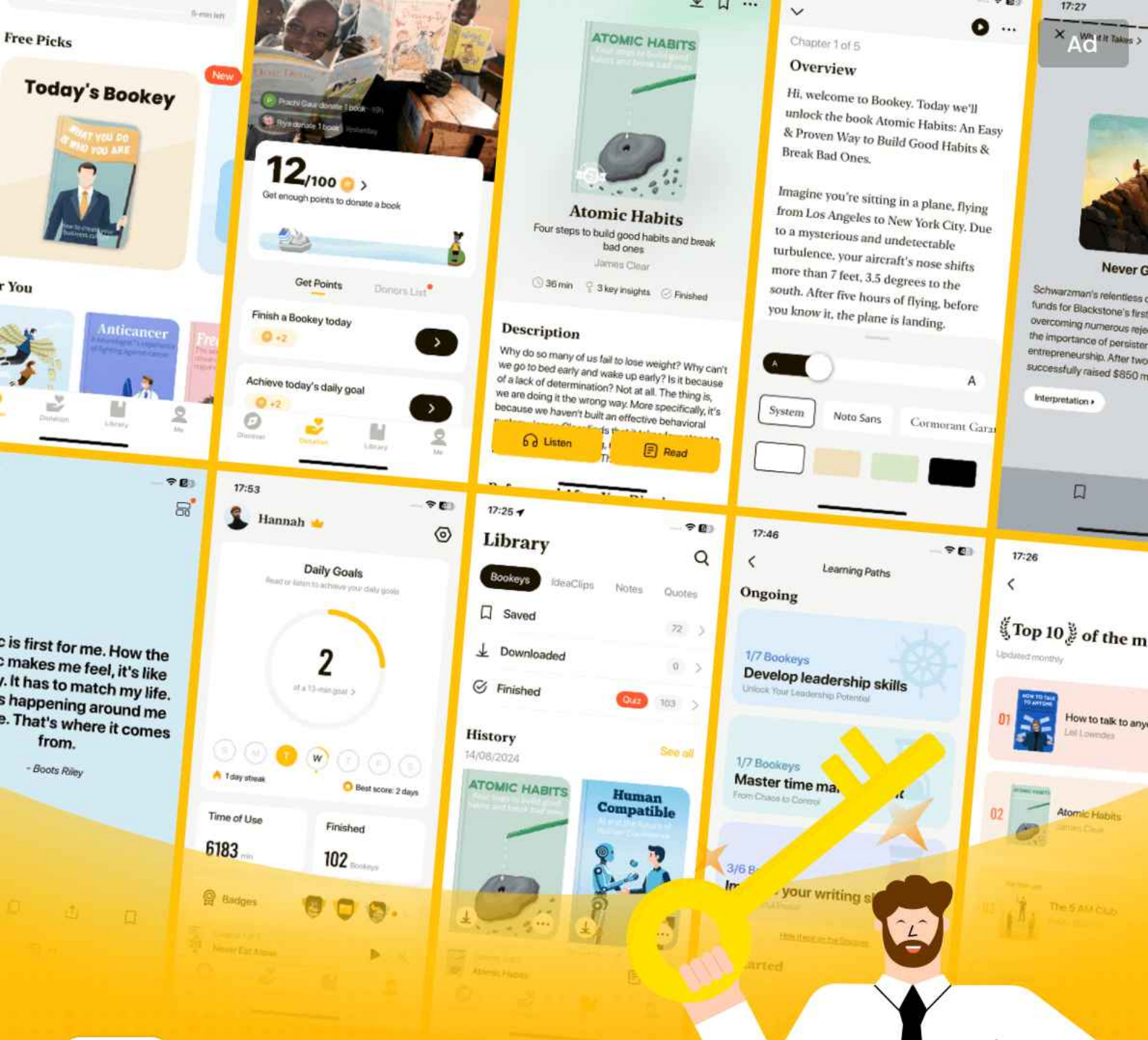
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Chapter 13 Summary : WHEN TO EXIT A TRADE

WHEN TO EXIT A TRADE

Overview of Exiting Trades

Determining when to exit a trade is subjective and varies among traders. While some have set profit targets and close trades accordingly, others may wish to maximize their profits, acknowledging the unpredictable nature of trends.

Setting Profit Targets

Traders must decide on the number of pips they consider adequate for their trades. Consideration should be given to personal profit goals, which can range from specific dollar amounts to percentages.

Using MACD Platinum for Exits

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The MACD Platinum indicator can provide key signals for exiting trades:

-

Crossing the Zero Level:

A crossing may indicate a potential trend change.

-

Colored Dots:

An opposite colored dot after a zero cross could be a warning to exit or tighten stops.

Techniques to Manage Exits

-

Trailing Stops:

Adjust stops based on recent price action, technical levels (e.g., Fibonacci, pivot points).

-

Fixed Profit Targets:

Exit once a predetermined profit level is reached.

-

Risk/Reward Ratio:

Aiming for a specific outcome based on risk levels (e.g., risk of 50 pips for a potential gain of 100 pips).

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Scaling Out of Trades

Scaling out involves closing part of a position at certain market levels to secure profits while maintaining a portion of the trade open for potential larger moves. This can help manage risk and preserve capital.

Custom Indicator Use

Traders may also select their departure from a trade based on specific indicators, events (like end-of-day), or other conditions such as major news releases, adapting strategies based on personal comfort with risk.
In conclusion, varying methods exist for exiting trades, and traders must choose the one that aligns with their strategy and trading psychology.

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Chapter 14 Summary : SHORTER TIME FRAME TRADING

SHORTER TIME FRAME TRADING

If you prefer trading using shorter time frames, such as 5 minute or 15 minute charts, consider limiting your trading to specific times of the day, particularly during the London or US sessions. Although longer time frame trading is favored, many traders are drawn to shorter time frames for various reasons, including time constraints.

Trading Recommendations

For those who can monitor higher time frame charts, it's advisable to do so, as it can lead to easier and potentially more profitable trading with less hands-on effort. If you choose to trade lower time frames, stay informed about major news releases that could impact the currency pair you are trading. Being prepared for market shifts is crucial.

Useful Resources

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Consider utilizing tools like the Forex Factory Calendar to keep track of relevant news events filtered to your time zone. Additionally, the MT4 custom indicator, i-ParamonWorkTime, can help manage your trading sessions by visually indicating active trading hours on your charts.

Visual Tools Overview

-
Forex Factory Calendar
: A resource for news events
-
i-ParamonWorkTime Indicator
: A custom tool for tracking trading times with visual alerts on charts.

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Chapter 15 Summary : TRADE POSITION SIZE

TRADE POSITION SIZE

Initial Trading Approach

Start with small lot sizes to gain experience without feeling embarrassed, as even small trades can yield substantial profits. Over time, you can increase your position size as you become more comfortable.

Compounding and Risk Management

Utilize the power of compounding to grow your account while maintaining a consistent risk percentage on each trade. As your account balance increases, your position sizes can also grow without adding extra risk.

Method No.2: Multiple Trades

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When employing Method No.2, which involves taking multiple trades in the same direction and increasing trade size, it’s crucial to begin small. Effective money management is vital, especially when multiple trades are ongoing, as this can lead to amplified losses if the market moves against you.

Maximizing Profits vs. Risk

Successful trading with multiple positions can lead to significant profits, but the risk is heightened if market conditions turn unfavorable. This reflects the double-edged sword principle, where higher potential rewards come with increased risks.

Method No.1: Individual Trade Signals

Method No.1 recommends treating each entry signal as an

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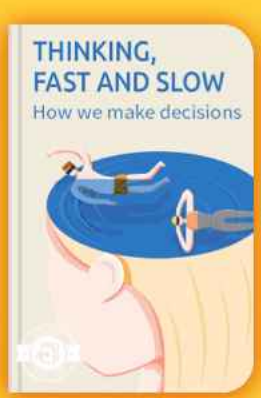
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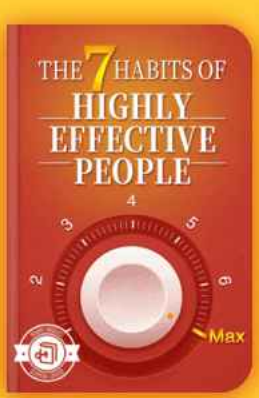
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Chapter 16 Summary : HYBRID OF METHOD NO . 1 AND METHOD NO . 2

HYBRID OF METHOD NO. 1 AND METHOD NO. 2

The hybrid approach combines Method No.1 and Method No.2 for forex trading, allowing for an effective way to manage trades and recover from losses.

Initial Trade Setup

- Enter the first trade with a carefully considered position size and a normal stop loss.
- If the trade is successful (moves in your favor), treat it as a normal trade.
- If the trade results in a loss, accept it as part of trading.

Subsequent Trade Logic

- If the MACD Platinum remains consistent (on the same

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side of the zero level) and a new trade signal appears, enter this trade with three times the original position size.
- Set another carefully considered stop loss.

Example of Trade Recovery

1. Suppose the first trade loses -50 pips with a 0.1 lot entry.
2. For the second trade, use 0.3 lots. If it yields +25 pips, close out 0.2 lots to recover the -50 pips lost previously, leaving a 0.1 lot still in play.
3. If the second trade suffers a loss before recovering the first trade's loss, the third trade should be at 0.5 lots, aiming to close 0.4 lots to recover any previous losses.
4. If the second trade recovers the first loss but is reduced to 0.1 lot, the next trade then would be for 0.3 lots.

Key Considerations

- Always be mindful of money management when selecting the position size for the first trade.
- Accept losses without the urge for revenge. Focus on future trading signals to make up for losses.
- Learn from any mistakes made and move forward, maintaining focus on trading strategy.

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Visual References

- Figure 29 illustrates the hybrid method using stops.
- Figure 30 presents the same concept but without utilizing stops.

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Chapter 17 Summary : MANAGING MULTIPLE TRADES

MANAGING MULTIPLE TRADES

Managing multiple trades requires awareness of broker regulations, which vary by jurisdiction. For instance, US brokers must adhere to FIFO (First In, First Out) rules and restrict leverage to a maximum of 50:1. These limitations aim to prevent traders from over-leveraging their accounts, which is a common pitfall for many unsuccessful traders.

Broker Rules

-
FIFO Requirement:
Trades must be closed in the same order they were opened, which can limit creative trade management.
-
Leverage Limits:
US brokers restrict traders to a maximum leverage of 50:1, preventing excessively large positions.

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-

No Hedging Rule:

Traders cannot hold both buy and sell positions on the same currency pair simultaneously.

Understanding these rules is crucial for effective trading; thus, it's advisable to practice on a demo platform provided by your broker to familiarize yourself with both trading methods and platform functionalities without financial risk.

Hedging Strategy

When managing multiple trades, hedging could be beneficial. For instance, if multiple positions have gone against you, initiating trades in the opposite direction may offset potential losses. This requires careful planning as it involves juggling positions in both directions.

Excel Spreadsheet Tool

A custom Excel spreadsheet can assist in managing trades effectively. Key features include:

-

Trade Entry:

Select buy or sell from a dropdown and input position sizes

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without decimals for convenience.

-

Breakeven Calculation:

Automatically calculates the overall position and breakeven price.

-

Hedged Status:

Displays 'Hedged' if equal buy and sell trades exist.

Trade Management Tips

- When calculating stop placements, consider adjusting the overall breakeven price slightly to account for negative swaps.
- If using Method No.2, monitor the MACD Platinum indicator; if it crosses the zero level, reposition all stops to breakeven and reassess your trading setup.
- In a consolidating market, exiting at breakeven is advisable to prevent excessive exposure in one direction.

Remain patient as new trading opportunities will present themselves.

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Critical Thinking

Key Point:The importance of understanding broker regulations is crucial yet possibly overstated by the author.

Critical Interpretation:The chapter emphasizes regulations such as FIFO and leverage limits as essential for successful trading in Forex. However, one could argue that these rules might not guarantee success and can stifle innovative trading strategies. While regulations are there for protection, they could limit flexibility and adaptability in volatile markets, which are often key to a trader's success. It's worth noting that some traders thrive outside the US regulations, possibly leading to questions about the absolute necessity of such constraints. Critics of stringent trading regulations often point to the multitude of successful traders operating in less regulated environments, suggesting that creativity and strategic flexibility may be equally, if not more, important ('The Daily Trading Coach' by Brett N. Steenbarger discusses these aspects). Readers are encouraged to view the author's perspective as one among many possibilities in the complex world of Forex trading.

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Chapter 18 Summary : CONCLUSION

CONCLUSION

The chapter concludes with a summary of trading strategies and methodologies. It emphasizes that the framework provided should be adapted to fit individual trading styles and preferences, taking into account factors like favored currency pairs, timeframes, and risk tolerance. The author recommends starting with the safer Method No.1 for beginners on a demo account before transitioning to live trading.
Key points include:
- Importance of money management, particularly with Method No.2.
- Use major trends for trading, employing MACD Platinum dots for trade identification and QMP Filter dots for confirmation.
- Suggestions to utilize the trading method across various charts and time frames for discovering potential opportunities.
Readers are encouraged to join a private Facebook group for further discussion and support, and information for

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downloading additional resources and instructional videos is provided. The chapter also reassures subscribers about privacy concerning their email addresses and offers the option to unsubscribe from notifications if desired.

DOWNLOADABLE PACKAGE

Instructions for accessing a downloadable package related to the MT4/MT5 and TradingView trading methods are included, with specific steps for subscription and obtaining files. It mentions that the files are not compatible with iOS or Android but provides ways to access charts on mobile devices through the Facebook group.
Readers are also asked to consider leaving a review if they found value in the author's materials.

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Critical Thinking

Key Point:Flexibility in adopting trading frameworks is crucial for success.

Critical Interpretation:Jim Brown emphasizes adapting trading strategies to personal preferences, suggesting that individual styles and risk appetites are important. However, this one-size-fits-all suggestion may not hold true for every trader. Each trader's experience can differ significantly based on psychological factors, market conditions, and the complexity of strategies employed. Research such as 'The Psychology of Trading' by Brett Steenbarger highlights how emotional management can greatly affect trading performance, indicating the need for a tailored approach beyond simple framework adaptation.

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Chapter 1 | Quotes From Pages 11-12

1. 'Traders have been using these for years, as they stand the test of time.'
2. 'If you follow the instructions there you shouldn’t have any problems, but if you do then feel free to contact me.'
3. 'It is up to the individual whether you want to use this, or whether you would rather design your own.'

Chapter 2 | Quotes From Pages 13-14

1. No one, and I repeat, no one knows where price is going next!
2. What works exceptionally well for one trader may be a complete dog to another trader - this is just the way it is.
3. A favorite saying of mine when it comes to trading is ‘Patience, Courage and Discipline’.

Chapter 3 | Quotes From Pages 15-17

1. Some of the most successful trading methods trade

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pullbacks or retracements in a major trend, and that is exactly what this does.

2. But having said that, you could also trade this against the major trend if you so desired. Although, why swim against the tide?
3. I look for the MAs to be stacked so that there is an obvious trend either up or down.
4. For this trading method to work, you don’t actually need to display the QQE Adv. on your charts, but you have to have it uploaded onto your platform to ensure the QMP Filter works.

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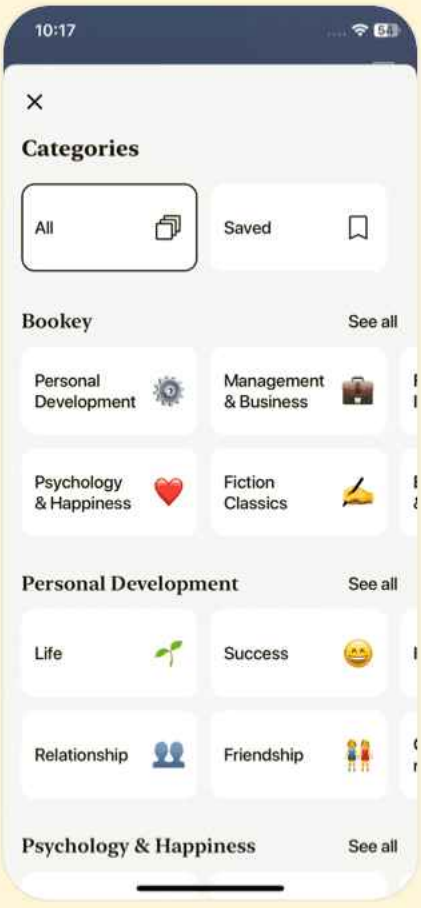
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Chapter 4 | Quotes From Pages 18-19

1. 'If the Moving Averages were stacked to the upside and there was an upward pointing yellow arrow, then I have two trend confirming scenarios, therefore I would only prefer to take buy trades on the 1hr chart.'
2. 'If you had conflicting signals, then you may choose to step aside and look at another pair or wait for a clearer trend.'

Chapter 5 | Quotes From Pages 20-22

1. If the chart was in an up (buy) trend, then we are looking for blue dots forming on the MACD Platinum below the zero level.
2. Once the QMP Filter blue dot is confirmed by the closing of the current candle, the buy trade would be taken on the open of the new candle.
3. You will be impressed with how simple the method is and the large number of successful trades that it produces, but like any trading system, it is not perfect.
4. I will now discuss a few ideas on trade management and

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some of the pitfalls of trading this way.

Chapter 6 | Quotes From Pages 23-24

1. The choice is yours.
2. Every buy or sell signal is treated as an individual trade where they are managed separately.
3. In a perfect scenario, you would see one dot on MACD Platinum either side of the zero level where it basically goes from sell to buy to sell to buy to sell etc.
4. When the trend does eventually change direction, your stop will get you out completely and there will be no new trades taken until a new trend is identified, or the original trend resumes.
5. Whichever way you choose to identify your trades, this is the smart way to trade this method and certainly the safest.

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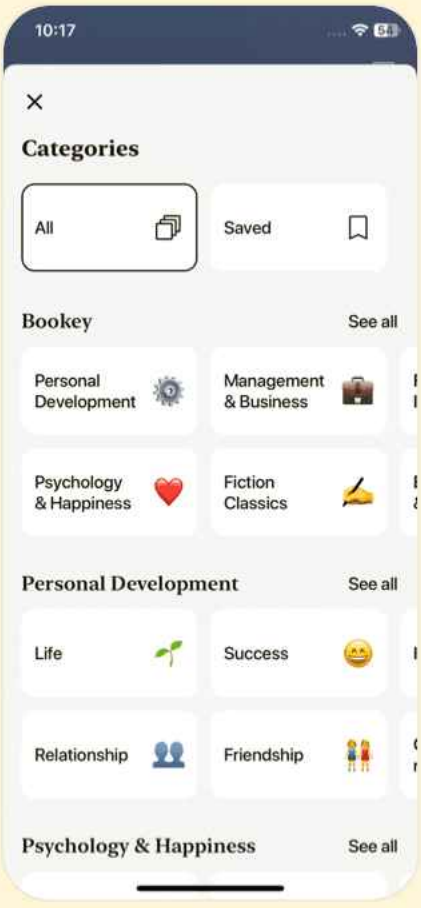
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Chapter 7 | Quotes From Pages 25-30

1. You are with the trend and you see a red dot on the MACD Platinum that is above the zero level and is confirmed by a red dot on the QMP Filter...But instead of price heading down, it heads up...
2. Now you can see why money management is important as you have to be able to add to your position exponentially.
3. Even if you managed to exit after trade no.4 at overall break even, trade no.5 would have been an excellent stand-alone trade anyway. And notice how small a distance price had to travel from the break-even level to achieve +500 pips...
4. I have since found that taking hedge trades may also reduce the overall risk.
5. ....spend time on historical charts to see how the patterns form and what you think you would be comfortable with.

Chapter 8 | Quotes From Pages 31-33

1. The MACD Platinum tends to want to come back to the zero level when it extends away from it on

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either side.

2.Look at most charts and you will see the MACD Platinum continuously going from one side of the zero level to the other and then back.

3.One thing I want to make clear here is that I am providing you with a framework of a trading method.

4.I encourage you to find your own way to trade.

5.You have to live and breathe it, where you are ready for anything as you recognize the patterns or the moves your particular financial instrument makes.

6.Do not even consider risking serious money until you are proficient and comfortable with the method you are using.

Chapter 9 | Quotes From Pages 34-37

1. You do not have to take every trade, just the ones that look like a good set up to you.

2.Now whether this is a trend line from the chart time frame you are trading, or even a higher time frame, it is up to you.

3.With drawing trend lines, don’t get caught up with being too precise.

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4.Do what is easy for you.

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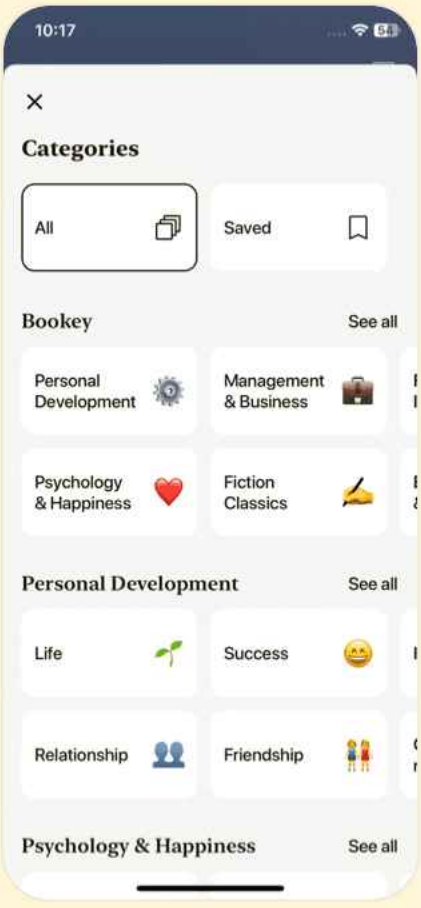
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Chapter 10 | Quotes From Pages 38-40

1. Divergence can be a very powerful confirmation tool.
2. Even though it can be quite reliable as a stand-alone signal, I would be reluctant to use it without any other type of confirmation.
3. Whatever your thing is, feel free to use that, but have a look at what I am offering here and you may be able to incorporate it into your own method and they may actually complement each other.
4. I personally like to throw my Fib tool on the Daily charts as it provides a good idea of where price is at or where it may head next.

Chapter 11 | Quotes From Pages 41-43

1. Contrary to popular belief, the entry is really not that critical.
2. We have all heard that we should cut our losers quickly and let our winners run.
3. Do not listen to the crowd or be influenced by others. Do

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your own testing and do what is right for you.

4. The trick is to learn from them so you don't make the same mistake again.

5. To make things easier, you could use a simple and freely available position size calculator.

Chapter 12 | Quotes From Pages 44-46

1. 'Don't write off that trading opportunity as you may be in a position to look for a re-entry.'

2. 'You may have to re-assess your stop loss position which may in turn require a position size adjustment to fit in with your money management plan.'

3. 'A Buy Stop Order is where price is currently below your preferred entry point, so you are looking for price to head up and fill your order and then hopefully continue up.'

4. 'I rarely use them as I don't know where a market is going to turn, hence I like to pick orders up in the trend direction which is by the use of Stop Orders.'

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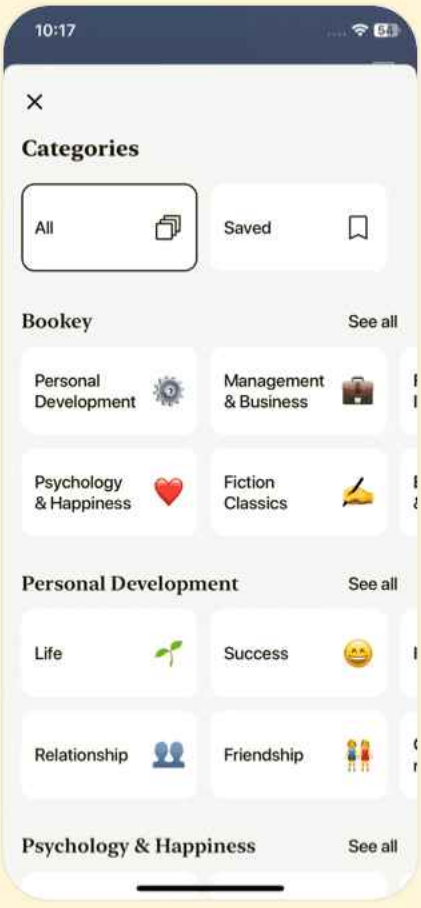
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Chapter 13 | Quotes From Pages 47-50

1. No one knows how long a trend will last.
2. Traders are capitalists in my opinion as they do enjoy making money.
3. How many pips is enough for you?
4. I like experiencing some profit locked in and be in an overall 'can’t lose' position.
5. There are many options and the decision is yours.

Chapter 14 | Quotes From Pages 51-52

1. If you prefer the shorter time frames like the 5 minute or 15 minute charts, then you may wish to consider only trading at certain times of the day.
2. If you do have the time and you can monitor the higher time frame charts, then I would strongly suggest you go with them.
3. But if you must trade the lower time frames, then ensure you are aware of any major news releases coming out during your trading session.
4. There is no need to get out of open trades, but you have to

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be ready for anything and then act quickly if things go against you.

5. A resource that is quite good for the news that can be filtered to suit your time zone and specific requirements is the Forex Factory Calendar.

Chapter 15 | Quotes From Pages 56-57

1. Go in small initially to get a feel for it.
2. You can always increase sizes later when you are comfortable.
3. Money management is critical when trading this way.
4. Higher reward normally goes hand in hand with higher risk.
5. A smart trader would seize this opportunity to exit all trades and then patiently wait for the next trade set up.
6. Confusion sets in and the not so smart trader now can’t decide on what action to take.

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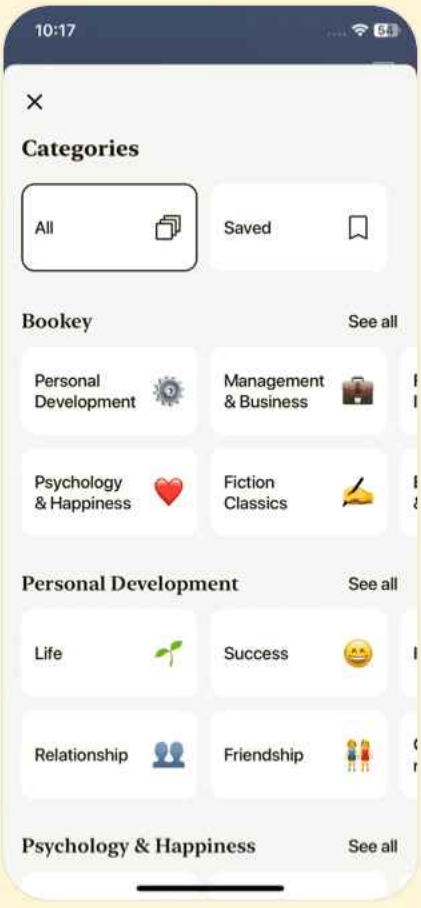
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Chapter 16 | Quotes From Pages 58-60

1. Don't be afraid to take a loss, even if it was a little bigger than you expected to take.
2. There will be plenty of new trading signals coming along that will eventually make up for it.
3. Learn from your mistake (if you made one) and then put it out of your mind.
4. Re-focus and get back in the groove.

Chapter 17 | Quotes From Pages 61-64

1. Trust me! You do not want to be caught with too many open trades in one direction if at all possible.
2. If the MACD Platinum crosses the zero level, I would strongly suggest you immediately move all stops to overall break even or even consider your exit options.
3. There are many options here so this spreadsheet can be a very handy tool.
4. Patience!

Chapter 18 | Quotes From Pages 65-68

1. Take from this what you wish.

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2.I cannot emphasize money management enough and how important it is.

3.Determine a major trend and only trade with that trend.

4.You will see many potential trading opportunities every day and it will surprise you how simplistic this system is.

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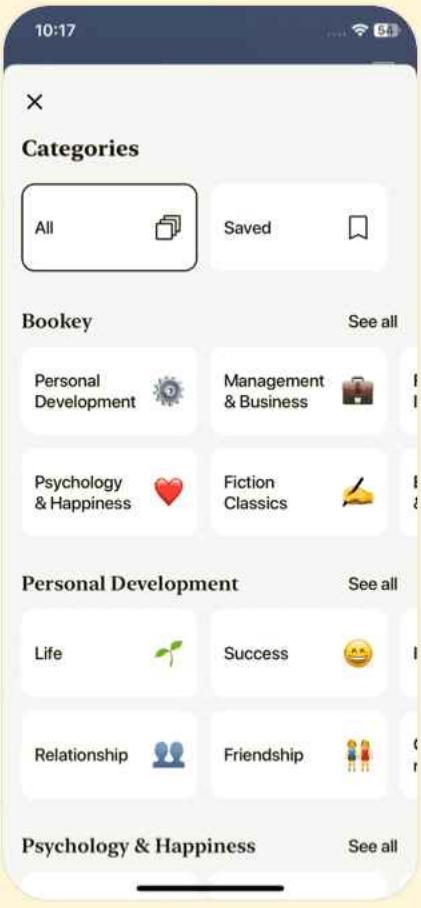
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Forex Trading Questions

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Chapter 1 | CUSTOM INDICATORS REQUIRED| Q&A

1.Question

What are the essential indicators required for this trading method?

Answer:The essential indicators required for this trading method include multiple Moving Averages, custom indicators provided in the downloadable package, and a specific custom MT4 indicator called the i-ParamonWorkTime.

2.Question

How can I customize my trading platform to match your charts?

Answer:You can customize your trading platform by downloading the MT4 template included in the package at the end of the book, which will ensure your charts look the same as the author's. Alternatively, you are free to design your own charts if you prefer a different style.

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3.Question

Is it important to use the custom spreadsheet provided?

Answer:While the customized Excel spreadsheet is not essential, it can greatly assist you in managing multiple trades and following the specific trading strategies mentioned later in the book.

4.Question

What should I do if I encounter problems loading indicators or templates?

Answer:If you encounter problems loading indicators or templates, refer to the detailed instructions provided in the 'Read This First' document included in the download package. If issues persist, you can reach out to the author for support.

5.Question

Can users of different operating systems access the trading materials?

Answer:Yes, users of different operating systems can access the trading materials. For Mac users specifically, there are additional instructions provided regarding the installation of

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templates, as some users have reported challenges with the process.

6.Question

What advice is offered to Mac users trying to install MT4?

Answer:Mac users are advised to consider using a program called PlayonMac to install MT4. They should also ensure they copy and paste the indicator files correctly within the designated folders in the wine library, rather than transferring files directly.

7.Question

How can I get help if I need further assistance with Mac-related issues?

Answer:If you need further assistance with Mac-related issues, you can ask for help in the author's Facebook group, where other users or the author may be able to provide support.

8.Question

What is the advantage of using the i-ParamonWorkTime indicator?

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Answer:The i-ParamonWorkTime indicator can help traders optimize their strategies by indicating the best times to trade, although it's not essential to the method.

Chapter 2 | MY THOUGHTS ABOUT INDICATORS| Q&A

1.Question

What is the main critique of indicators in trading, and how can they still be valuable?

Answer:The main critique of indicators is that they lag behind price movements, meaning they reflect trends after they have already occurred, often leading to missed opportunities. However, when used in conjunction with one another and in a broader trading strategy, they can provide valuable insights and confirm signals that assist traders in making informed decisions.

2.Question

Why is understanding personal trading style important according to Jim Brown?

Answer:Understanding your personal trading style is

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essential because what works for one trader might not work for another. Each trader has different opinions, risk tolerances, and mental nuances that affect trading decisions. Finding a method that aligns with your individual temperament and comfort can lead to greater success and consistency.

3.Question

What does Jim Brown mean by the 'whole package' in trading?

Answer:The 'whole package' refers to the comprehensive approach to trading that encompasses not just technical strategies, but also aspects like money management, health and well-being, emotional state, and adherence to a trading plan. This holistic view supports better decision-making and emotional resilience in the trading process.

4.Question

How does Jim Brown suggest traders should handle trade entries and exits?

Answer:Jim Brown recommends that traders focus on having

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clear and definite rules for trade entries to avoid second-guessing themselves when they make decisions. While he places more importance on clearly defined entries, he acknowledges that exits are influenced by various factors that will be addressed later in the book.

5.Question

What does the phrase 'Patience, Courage, and Discipline' signify in the context of trading?

Answer:This phrase encapsulates key qualities traders must cultivate: 'Patience' indicates waiting for the right trade setup, 'Courage' is about taking the trade when it presents itself despite potential anxiety, and 'Discipline' emphasizes the importance of sticking to one’s trading method and maintaining comprehensive self-management.

Chapter 3 | TRADING WITH THE TREND AND TREND IDENTIFICATION| Q&A

1.Question

What is the principle behind trading with the trend?

Answer:The principle of trading with the trend involves taking positions in the direction of the

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prevailing market trend. If the trend is upward, traders look for pullbacks or retracements to buy, anticipating the trend to continue rising. Conversely, if the trend is downward, traders wait for pullbacks to sell, expecting the downward movement to persist.

2.Question

How can one identify a major trend in the market?

Answer:A major trend can be identified by using a combination of indicators such as Moving Averages (MAs). Specifically, the use of the 50 EMA, 100 EMA, and 240 LMA can help determine the trend direction by observing how these moving averages are stacked. When they are properly aligned, it becomes clear whether the market is in an uptrend or downtrend.

3.Question

What is the advantage of using multiple time frame filters in trading?

Answer:Using multiple time frame filters, like the QMP

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Filter designed with built-in higher time frame analysis, provides additional confirmation for trade signals. This is particularly useful when trading on lower time frames, enhancing the accuracy of the entries by ensuring alignment with the overall trend indicated by higher time frames.

4.Question

What is a QMP Filter and how does it enhance trading decisions?

Answer:The QMP Filter is a custom indicator designed to simplify the visual analysis of trade signals on the price chart. It combines signals from the QQE Adv. and MACD Platinum indicators, helping traders identify when the indicators are in sync. This allows for clearer decision-making and enhances the probability of successful trades.

5.Question

Why might a trader choose to swim against the trend, and what are the potential risks?

Answer:A trader might choose to trade against the trend to

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capture short-term market movements that could lead to profits. However, this approach carries significant risks because it goes against the prevailing market momentum, increasing the likelihood of losses if the overall trend continues.

6.Question

What should a trader do if the moving averages are not stacked?

Answer:If the moving averages are not stacked, indicating a lack of a clear trend, the trader should refrain from trading that currency pair and look instead for other pairs where a discernible trend exists, thereby improving the chances of successful trades.

7.Question

How important is technical analysis in identifying trends in forex trading?

Answer:Technical analysis is crucial in identifying trends in forex trading, as it allows traders to visually assess market behaviors through indicators like MAs, MACD, and QQE.

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By using these tools, traders can make informed decisions based on historical price movements and patterns.

8.Question

What are the key indicator settings mentioned for effective trading in this chapter?

Answer:The key indicator settings mentioned include the default parameters for QQE Adv. (1, 8, 3) and MACD Platinum (12, 26, 9), which are essential for the QMP Filter to function effectively and provide reliable trade signals.

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Chapter 4 | WHAT YOUR CHART SHOULD LOOK LIKE| Q&A

1.Question

What is the significance of using a Higher Time Frame Filter in Forex trading?

Answer:The Higher Time Frame Filter provides a broader context for trends, helping traders align their strategies with the prevailing market direction. By using this filter, traders can identify more reliable signals, such as upward or downward pointing yellow arrows on their charts, indicating whether to consider buy or sell trades based on confirmation from higher time frame analysis.

2.Question

How do the Moving Averages and QMP Filter work together on a chart?

Answer:The Moving Averages provide insight into the direction and strength of a trend, while the QMP Filter offers specific entry and exit signals through color-coded dots. Together, they allow traders to visually confirm the trend and

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make informed trading decisions, ensuring that trades are taken in the direction of the established trend.

3.Question

What should a trader do in case of conflicting signals on the chart?

Answer:When faced with conflicting signals, such as a downtrend indicated by Moving Averages while the QMP Filter shows an upward arrow, it is advisable for traders to refrain from entering trades. Instead, they should wait for clearer, more consistent signals. This approach minimizes risk and enhances decision-making, ensuring that trades are made with confidence.

4.Question

Why is it important to trade with the trend?

Answer:Trading with the trend maximizes the likelihood of success as it aligns trades with the dominant market movements. By following the trend indicated by the Moving Averages and confirmed by the QMP Filter, traders can make more informed decisions, increasing their chances of

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profitability while minimizing potential losses.

5.Question

What does the appearance of yellow arrows indicate on the chart?

Answer:The yellow arrows appear when the Higher Time Frame Filter is activated and correspond to the trend signals from the higher time frame charts. An upward yellow arrow represents bullish sentiment (a blue dot on the Daily chart), while a downward arrow signals bearish sentiment (a red dot on the Daily chart). These arrows serve as visual cues for traders to reinforce their trading decisions based on higher time frame analysis.

6.Question

How can traders set the Higher Time Frame Filter on their charts?

Answer:Traders can set the Higher Time Frame Filter by navigating to the indicator's 'inputs tab' and entering their desired time frame in the field labeled 'Higher Time Frame'. This adjustment allows them to see relevant yellow arrows

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that assist in confirming trend direction for their trading strategy.

7.Question

What does Jim Brown suggest about trading during uncertain signals?

Answer:Jim Brown suggests that traders should be cautious and consider stepping aside during uncertain signals to avoid unnecessary losses. Instead of forcing trades in unclear situations, it’s better to switch focus to other currency pairs or wait for clearer trends to emerge.

Chapter 5 | LOOKING FOR TRADE ENTRIES| Q&A

1.Question

What signs indicate it's time to consider a buy trade in a chart showing an uptrend?

Answer:In an uptrend, look for blue dots forming on the MACD Platinum below the zero level as a potential indicator for a buy trade. The confirmation of the QMP Filter blue dot is essential before executing the trade.

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2.Question

How do you know when to enter a trade after identifying the array of dots on the MACD and QMP Filter?

Answer:You should take the buy trade on the open of the new candle, but only after the QMP Filter blue dot is confirmed by the closing of the current candle.

3.Question

What is the role of the QQE Adv. indicator in relation to the QMP Filter dots?

Answer:The QQE Adv. indicator acts as a warning for imminent QMP Filter dots by showing a potential cross, helping you anticipate when the QMP Filter dot will appear.

4.Question

How does the approach differ for identifying sell trades compared to buy trades?

Answer:For sell trades in a downtrend, you look for red dots forming on the MACD Platinum above the zero level, followed by a confirmed red dot on the QMP Filter, reversing the process used for buy trades.

5.Question

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What should one keep in mind about the trading system described in this chapter?

Answer:While the methods outlined are simple and often effective, they are not infallible. Understanding trade management and being aware of potential pitfalls are crucial for success.

6.Question

What does the author suggest doing with the provided indicators and templates?

Answer:The author strongly recommends applying the provided template to multiple charts across various time frames to explore the trading setups and gain insights into their effectiveness.

7.Question

What key message does the author convey about the nature of trading systems?

Answer:The key message is that while trading systems can yield a high volume of successful trades, one must remain mindful of their limitations and approach trading with sound

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risk and trade management strategies.

Chapter 6 | METHOD NO . 1 (LOWER RISK)| Q&A

1.Question

What is the importance of placing a stop on each trade in Forex trading?

Answer:Placing a stop on each trade is crucial because it helps to manage risk effectively. By setting a stop at a strategic point—like just above/below the high/low of the signal candle or at a recent fractal—you protect your capital from excessive losses. It ensures that you have a clear exit plan before entering the trade, which mitigates emotional decision-making during trade fluctuations.

2.Question

How can traders identify when the market trend is exhausted?

Answer:Traders can identify when the market trend is exhausted by monitoring signals from indicators like the

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MACD Platinum. In a perfect scenario, this indicator shows alternating dots on either side of the zero level (sell to buy) which indicates strong signals. Once the trend starts to show signs of reversal with the dots not following the previous pattern, it signals that the trend may be exhausted and should be addressed with caution.

3.Question

What strategies can traders use to manage open trades according to the method described?

Answer:Traders can manage open trades using several strategies, such as a hard profit target, which sets a specific level to close the trade, or a trailing stop that adjusts as the price moves favorably. They can also utilize Fibonacci retracement levels, Support and Resistance levels, or Pivot Levels to decide when to exit trades. Each method gives the trader flexibility in how to secure profits and minimize losses.

4.Question

Why is it considered smart to manage each buy and sell signal separately?

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Answer:Managing each buy and sell signal separately allows traders to maintain a clear perspective on each trade's performance without being influenced by the others. This method helps to isolate risks and outcomes, ensuring that a downturn in one trade does not impact how another trade is handled. It fosters disciplined trading, as each decision is made based on individual analysis rather than a cumulative feeling about the market.

5.Question

What should a trader do when the trend changes direction according to the text?

Answer:When the trend changes direction, as indicated by the MACD Platinum signals, a trader should exit all open trades that are against the new trend and refrain from entering new trades until a new trend is identified or the original one resumes. This approach preserves capital and reduces the risk of losses that arise from trading against the market direction.

6.Question

What does it mean to trade from each side of the MACD Platinum when the trend is flat or undecided?

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Answer:Trading from each side of the MACD Platinum in a flat or undecided trend means that the trader takes buy and sell signals when the MACD doesn’t indicate a clear direction. This strategy seeks to profit from small price movements in either direction until a definitive trend emerges. It can be a more aggressive approach, requiring careful risk management as the market can become unpredictable in such conditions.

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Chapter 7 | METHOD NO . 2 (HIGHER RISK)| Q&A

1.Question

What is the primary warning associated with Method No. 2 in Forex trading?

Answer:Method No. 2 requires excellent money management skills, as it involves adding to a losing position which can lead to significant losses if not managed properly.

2.Question

How does Method No. 2 typically operate when entering a trade?

Answer:You enter a sell trade when the indicators signal a downtrend, without a hard stop loss, or with a major catastrophe stop loss placed far from the entry point.

3.Question

Can you explain the reasoning behind not setting a hard stop loss in Method No. 2?

Answer:Not setting a hard stop loss allows more flexibility to adjust your trade as market conditions change and avoid

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being prematurely stopped out when a trend may still continue.

4.Question

What kind of trading positions might a trader find themselves in using Method No. 2?

Answer:A trader may find themselves in a basket of trades with increasing position sizes asymmetrically, similar to a Fibonacci sequence of trade sizes.

5.Question

Why is it important to keep track of multiple trades and their sizes?

Answer:Tracking helps identify the overall break-even point and manages risk better since the combined position affects the trader's exposure to market movements.

6.Question

What should a trader look for to mitigate risk after executing a trade sequence?

Answer:A trader should continuously seek opportunities to exit at overall break-even, particularly after a significant divergence between trades, which indicates a potential trend

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reversal.

7.Question

What is the benefit of taking a hedge trade according to the chapter?

Answer:A hedge trade can lock in a loss and protect against further downward movement, allowing the trader to wait for a more favorable opportunity to re-enter the market.

8.Question

What has the author discovered about high-risk trading methods based on live testing?

Answer:The author suggests that high-risk trading methods should only be used when there is an initial confirmed trend or setup, emphasizing the need for careful evaluation through historical charts.

9.Question

What resources does the author provide for further understanding of Method No. 2?

Answer:The author refers readers to videos on their YouTube channel that explain the high-risk trading method in more detail.

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10.Question

What mental challenges might a trader face using Method No. 2?

Answer:Traders may experience stress from holding multiple trades in a direction contrary to their expectations, especially when indicators do not align with market movements.

Chapter 8 | THE THEORY BEHIND THE METHOD| Q&A

1.Question

What is the core idea behind the MACD Platinum method discussed in Chapter 8?

Answer:The core idea is that the MACD Platinum indicator tends to revert back to the zero level after moving away from it, similar to a rubber band that snaps back to its natural state after being stretched. This behavior highlights the consistent oscillation around the zero level, making it a potentially reliable tool for identifying trading opportunities.

2.Question

How should one approach trading with different currency

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pairs like NZD/CAD and GBP/JPY?

Answer:With pairs like NZD/CAD, which usually exhibit low volatility, traders can confidently take trades in various directions without worrying excessively about the trend. In contrast, GBP/JPY, known for its large directional moves, requires traders to align with the prevailing trend, as it may present greater risks if one disregards market direction.

3.Question

What is Jim Brown's message regarding developing one's own trading style?

Answer:Jim Brown emphasizes that while he provides a framework for a trading method, it is vital for traders to find their own approach. He encourages readers to adapt his ideas, use his indicators, and integrate their preferences to develop a trading style that suits them personally. Mastery of a single method is essential, as comfort and proficiency lead to better trading outcomes.

4.Question

What advice does Jim Brown offer regarding practice

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before trading with real money?

Answer:Jim advises against risking significant capital until a trader has achieved comfort and proficiency with their chosen method. This can be accomplished through extensive practice with historical charts and forward testing on demo or small live accounts.

5.Question

How important is familiarity with trading patterns for successful trading?

Answer:Being intimately familiar with the patterns or movements of a financial instrument is crucial for successful trading. Traders should know what to expect based on past behaviors, which requires both experience and extensive engagement with their chosen trading approach.

6.Question

How can historical chart time and forward testing contribute to a trader's success?

Answer:Historical chart time allows traders to observe and learn from past movements of currency pairs, helping them

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to recognize repeating patterns. Forward testing on demo or small live accounts provides practical experience, reinforcing the lessons learned from chart analysis and boosting confidence to trade effectively when real money is at stake.

Chapter 9 | THINGS TO CONSIDER USING METHOD NO . 1 (LOWER RISK)| Q&A

1.Question

What is the significance of the price being near moving averages (MAs) when considering a trade signal?

Answer:The trading signals tend to be stronger when the price is close to or has recently touched the MAs. A trade signal that appears when the price is far from the MA may lead to a missed opportunity, as it is likely that the price will revert back towards the MA, presenting a better entry point later.

2.Question

Why is it advised not to take every trade signal that appears?

Answer:Traders are encouraged to focus on high-quality setups rather than taking every signal. This approach helps in

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managing risk and increasing the chances of a successful trade.

3.Question

How can trend lines enhance trade decisions according to Method No. 1?

Answer:Trend lines can help traders identify critical points where price movements may occur. By only taking trade signals when a trend line is broken, traders can improve their decision-making, particularly in identifying potential reversals in the market.

4.Question

What should a trader consider when drawing trend lines?

Answer:Traders should find a method that works for them without being overly precise. Whether taking the extreme highs or lows, or focusing on the bodies of candlesticks while ignoring wicks, consistency is key. Each trader may have a different style, and it's important to use what feels easiest and most effective.

5.Question

How can identifying and using trend lines simplify

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trading strategies?

Answer:Using trend lines simplifies trading by providing clear points of entry based on market behavior. When a trend line is broken, it indicates a shift in momentum, allowing traders to act on significant changes rather than relying solely on complex indicators.

6.Question

What might happen if a trader draws trend lines too rigidly?

Answer:Rigidly drawn trend lines can lead to missed opportunities or incorrect signals. Trading is an art as well as a science; being flexible and intuitive with trend lines allows for better interpretation of market dynamics.

7.Question

How can the use of candles in charting influence a trader's performance?

Answer:Using candles helps traders to visually assess price action more effectively. Candlestick bodies represent the range of trading within a period, while ignoring wicks can

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streamline focus on the most relevant price movements, which can enhance decision-making.

8.Question

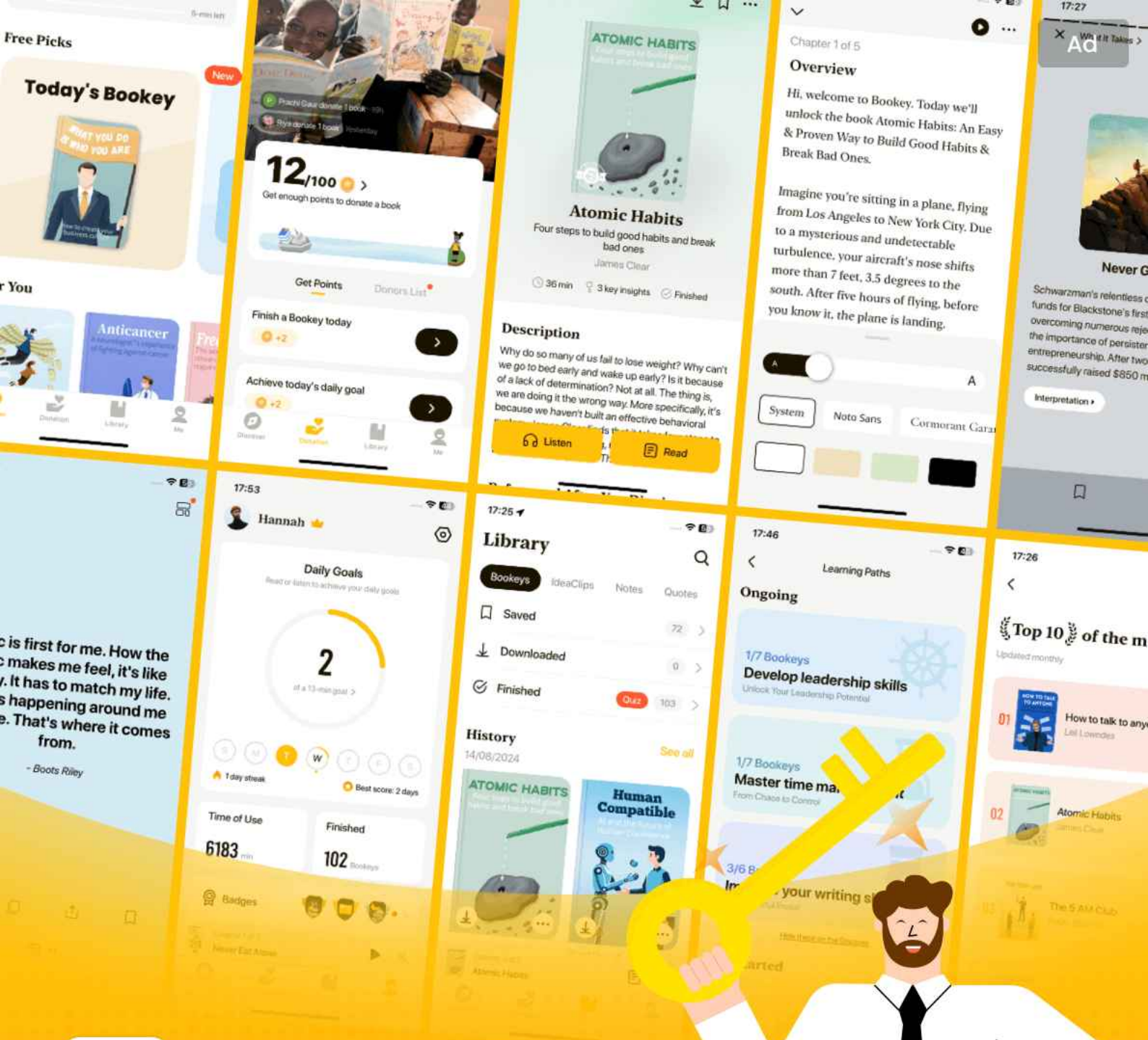
What is the impact of a trend line break on market sentiment?

Answer:A trend line break often signals a shift in market sentiment, either indicating a reversal or a continuation of trends. This information can be crucial for traders to capitalize on new market conditions.

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Chapter 10 | DIVERGENCE| Q&A

1.Question

What is divergence in Forex trading, and why is it important?

Answer:Divergence in Forex trading refers to a situation where the price of a currency pair moves in one direction while a technical indicator, like the MACD Platinum, moves in the opposite direction. This discrepancy suggests a potential reversal or change in trend, making divergence an important confirmation tool for traders. Recognizing divergence can help traders anticipate market movements and make informed decisions.

2.Question

What are the two types of divergence mentioned in the chapter?

Answer:The two types of divergence mentioned are regular (or standard) divergence and hidden divergence. Regular divergence typically signals a potential trend reversal, while

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hidden divergence can indicate the continuation of a trend. Both types are essential for traders looking to refine their entry and exit strategies.

3.Question

How should a trader use divergence in conjunction with other tools?

Answer:While divergence can be a powerful signal, the chapter advises combining it with other forms of confirmation, such as candlestick patterns, support and resistance levels, or Fibonacci retracements. For instance, if a trader notices bearish divergence alongside a resistance level, this could strengthen their conviction to sell.

4.Question

Can divergence be used as a standalone trading signal?

Answer:Although divergence can provide reliable signals, the author expresses reluctance to use it as a standalone tool. To enhance decision-making, it's recommended that traders look for additional confirmation before acting on the signals generated by divergence.

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5.Question

Is the concept of divergence covered in other works by Jim Brown?

Answer:Yes, Jim Brown has dedicated a third book to the concept of divergence, titled 'Trading Forex with Divergence on MT4/MT5 & TradingView'. This book delves deeper into the various types of divergence and provides numerous trade setup examples for traders interested in this method.

6.Question

How can traders integrate divergence into their existing trading methods?

Answer:Traders are encouraged to review the divergence technique and explore how it can complement their existing strategies, whether they rely on Gann analysis, candlestick patterns, or any other approaches. For example, a trader who traditionally uses Fibonacci levels might incorporate divergence to validate entry points when the price approaches a key Fib retracement level.

7.Question

What personal methods does Jim Brown still use in his

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trading?

Answer:Jim Brown mentions that he still employs Gann analysis based on swings and retracements, and he also utilizes the Fibonacci tool on daily charts to gauge price levels and potential future movements. This suggests that even with the advent of new techniques, foundational methods can remain valuable in a trader's toolkit.

Chapter 11 | TRADE MANAGEMENT AND EXIT| Q&A

1.Question

What is the most critical aspect of trading according to Jim Brown in 'Forex Trading' Chapter 11?

Answer:The most critical aspect of trading, as emphasized by Jim Brown, is trade management and exit strategies, not merely the initial entry point.

2.Question

Why do traders struggle to cut losers quickly and let winners run?

Answer:Traders struggle to cut losers quickly due to the human aversion to losing money and the psychological

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pressure to hold onto losing trades. Conversely, they often take profits too early due to a fear of losing out on potential gains, leading to a conflict that impacts decision-making.

3.Question

What is one of the primary rules for money management in trading according to Jim Brown?

Answer:A fundamental rule for money management is to risk no more than 1% to 2% of your account balance on a single trade.

4.Question

How can traders manage their stops according to Jim Brown?

Answer:Traders can manage their stops by placing them at recent highs or lows, using technical indicators like Moving Averages, or drawing from Fib levels, Pivot levels, or other significant price action points.

5.Question

What should traders do if they find themselves repeating mistakes in their trading strategy?

Answer:If traders repeat the same mistakes multiple times,

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they should re-assess their strategies and make necessary adjustments to avoid falling into the same traps.

6.Question

What advice does Jim Brown give for ensuring you don't risk too much while trading?

Answer:Jim Brown advises to keep position sizes small and manageable, ensuring that you can comfortably handle trades without excess stress or losing sleep at night.

7.Question

How can traders ensure they have enough capital to continue trading after losses?

Answer:Traders can ensure they have enough capital to continue by keeping position sizes small, thereby safeguarding their account and allowing them to trade another day, even after experiencing losses.

8.Question

What role does psychological resilience play in trading according to the chapter?

Answer:Psychological resilience is crucial in trading as it helps traders make rational decisions under pressure, manage

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fear and greed effectively, and maintain discipline in adhering to their trading plans.

9.Question

What is the importance of conducting personal testing in trading?

Answer:Personal testing is important as it allows traders to find what strategies and risk management techniques work best for their own trading style, rather than being swayed by popular opinions or crowd mentality.

Chapter 12 | RE - ENTRIES AND USE OF TREND LINES| Q&A

1.Question

What should you consider if you are stopped out of a trade but still believe in the original setup?

Answer:Don't disregard the trading opportunity. Instead, look for a re-entry point by placing a Buy or Sell Stop order to automatically enter the trade again if price moves in your favor or wait for a confirmed break of a trend line.

2.Question

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How should you adjust your strategy after a stop out?

Answer:Re-assess your stop loss position and adjust your position size to comply with your money management plan.

3.Question

What is the difference between a Market Order and a Stop Order?

Answer:A Market Order is executed immediately at the current price, while a Stop Order is set to fill at a specific price level once the market reaches it.

4.Question

Can you explain the purpose of Buy Limit and Sell Limit Orders?

Answer:A Buy Limit Order is for entering at a lower price than the current market, anticipating a reversal, while a Sell Limit Order is for entering at a higher price, also anticipating a reversal.

5.Question

Why does the author prefer using Stop Orders over Limit Orders?

Answer:The author prefers Stop Orders because they align

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with the trend direction, as predicting market reversals is inherently uncertain.

6.Question

How can trend lines assist in re-entering a trade?

Answer:Using a trend line can provide a visual confirmation point for re-entry. Waiting for a confirmed break of the trend line indicates a potential favorable market movement for re-entry.

7.Question

What psychological mindset should traders maintain after a stop out?

Answer:Traders should maintain resilience and not get discouraged. Each stop out is an opportunity to carefully re-evaluate and potentially re-enter a trade with a strategic plan.

8.Question

How do you define a successful re-entry into a trade?

Answer:A successful re-entry occurs when the trader aligns with market momentum after a strategic assessment of the trade setup and proper adjustment of risk management

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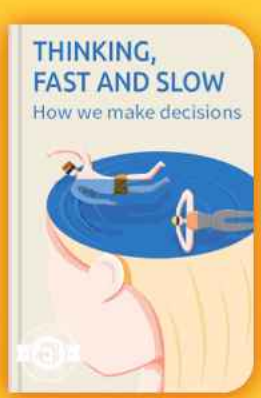
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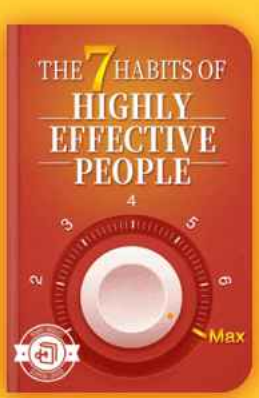
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Chapter 13 | WHEN TO EXIT A TRADE| Q&A

1.Question

When should a trader consider exiting a trade?

Answer:Exiting a trade should be based on your specific targets, either a predetermined profit level or when certain market indicators suggest a potential trend change. It's essential to adapt to market behavior, recognizing the signs such as MACD Platinum crossing the zero level or the appearance of colored dots indicating possible trend reversals.

2.Question

How can I determine if my exit strategy is effective?

Answer:An effective exit strategy should align with your trading goals. If you regularly secure profits while limiting losses based on methods like trailing stops or Fibonacci levels, your strategy is functioning well. Also, pay attention to your trading psyche; feeling secure about your decisions can be a strong indicator of a solid exit strategy.

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3.Question

What are the risks of being greedy in trading?

Answer:Being overly greedy can lead to missed profit-taking opportunities and can expose you to larger losses if the market reverses unexpectedly. It’s crucial to strike a balance between capitalizing on trends and knowing when to secure your gains.

4.Question

What is the importance of using market indicators like MACD?

Answer:Indicators like MACD provide traders with visual cues to assess market momentum and potential reversal points, effectively guiding them on when to exit trades or adjust their stop-loss. They help ground trading decisions in analytical data rather than emotions.

5.Question

How does scaling out of trades benefit a trader?

Answer:Scaling out allows traders to realize profits while still keeping a portion of their position in the market for potential further gains. It can reduce overall risk and improve

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the trading experience by securing profits and leaving fewer emotions tied to the remaining position.

6.Question

What methods can traders use to decide on exit points?

Answer:Traders have various methods to decide exit points, including setting specific profit targets (like a pre-determined pip count), using trailing stops based on technical levels, or following indicator signals like moving average crosses. Ultimately, it's subjective and should conform to each trader's strategy and risk tolerance.

7.Question

What role does the trader's personal goals play in exit strategies?

Answer:A trader's personal goals significantly influence their exit strategies; whether aiming for steady income, significant capital growth, or risk management, these objectives shape decisions on when to take profits or cut losses to align trading results with their lifestyle desires.

8.Question

How can market conditions affect my exit strategy?

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Answer:Market conditions, such as volatility, major economic news, or shifts in market sentiment, can drastically affect exit strategies. Traders should remain flexible and adjust their strategies accordingly, reacting to these conditions rather than strictly adhering to predetermined plans.

9.Question

Why is it important to move your stop loss to break even?

Answer:Moving your stop loss to break even ensures that you cannot incur a loss after a trade has moved sufficiently in your favor, thus significantly reducing emotional pressure and allowing you to trade more freely without fear of losing capital.

Chapter 14 | SHORTER TIME FRAME TRADING| Q&A

1.Question

What is the advantage of trading on longer time frames instead of shorter ones?

Answer:Trading on longer time frames, like daily or weekly charts, can provide a clearer picture of

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market trends and reduce the stress of constant monitoring. It requires less frequent decision-making compared to shorter time frames, allowing for more strategic planning that can lead to better profitability.

2.Question

How can time-constrained traders effectively engage in Forex trading?

Answer:Time-constrained traders should consider focusing on specific trading sessions, such as the London or US sessions, and utilize tools like the Forex Factory Calendar to stay updated on market news that can impact currency pairs.

3.Question

What is a practical tool mentioned for monitoring trading times?

Answer:The i-ParamonWorkTime custom indicator allows traders to visually identify their trading session times on their charts, helping them to stay organized and focused on their trading strategy.

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4.Question

Why is it essential to be aware of major news releases during trading?

Answer:Major news releases can significantly affect currency prices. Being aware of these releases allows traders to prepare for sudden market movements, ensuring they can react quickly to protect their positions.

5.Question

What is the importance of the Forex Factory Calendar?

Answer:The Forex Factory Calendar is a valuable resource that helps traders plan their trading sessions by providing information about upcoming economic events and news releases, tailored to the trader's specific time zone and trading interests.

6.Question

What does it mean to trade the 'lower time frames'?

Answer:Trading the 'lower time frames' refers to focusing on charts that represent shorter periods of time, such as 5 or 15 minutes. These trades require faster decision-making and can be more affected by immediate market volatility.

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Chapter 15 | TRADE POSITION SIZE| Q&A

1.Question

What is the primary strategy for managing trade position sizes for beginner traders?

Answer:Beginner traders should start with small lot sizes to get comfortable with trading. This allows them to gain experience without risking significant capital. As they become more confident and their account balance grows, they can increase their position sizes while maintaining a constant risk percentage on each trade.

2.Question

How should a trader approach multiple trades in the same direction?

Answer:When taking multiple trades in the same direction, a trader should still begin with small positions. It's important to implement strict money management to consider the maximum risk involved. If the market moves unfavorably, the potential for amplified losses increases, so careful

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monitoring and decisive action are crucial.

3.Question

What is the 'double edged sword theory' in trading?

Answer:The double edged sword theory refers to how higher rewards in trading often come with higher risks. While it's possible to achieve significant profits from multiple trades in the same direction, there is also the risk of substantial losses if the market moves against the trader.

4.Question

What defines a smart trading decision in the event of an overall break even scenario?

Answer:A smart trading decision in this scenario involves closing out all open trades when the price reaches a break even point, rather than freezing and doing nothing. This proactive approach allows the trader to take a loss at a break even level rather than risking further losses as the market moves against them.

5.Question

Why is time frame important when making trading decisions?

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Answer:Time frames are important because they dictate the amount of time a trader has to make a decision. On smaller time frames, decisions must be made quickly, which can lead to confusion and impulsive actions. Conversely, higher time frames, such as 4-hour or daily charts, provide traders with more time to analyze the situation and implement their strategies.

6.Question

What is the significance of having a stop loss in individual trades?

Answer:Having a stop loss in place for individual trades is critical as it helps to mitigate losses and protect the trading account from excessive drawdown. It allows for disciplined trading by establishing a predetermined exit point if the market moves unfavorably.

7.Question

How can traders use the power of compounding effectively?

Answer:Traders can effectively use the power of

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compounding by maintaining a consistent risk percentage for each trade as their account balance grows. This means that as their account increases in value, their position sizes can also increase proportionately, allowing for greater potential profits without significantly altering their risk profile.

8.Question

What caution should traders exercise when using Method No.2 for trading?

Answer:Traders should exercise caution with Method No.2, which involves increasing trade sizes while holding multiple positions. This method is recommended primarily for more experienced traders since the risk of amplified losses can escalate quickly if there is not a clear plan and decisive actions are not taken in varying market conditions.

9.Question

What common mistake might traders make when prices start to decline after entering multiple trades?

Answer:A common mistake traders may make when experiencing price declines after entering multiple trades is

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to freeze and take no action. Rather than closing positions at break even or limiting losses, they might hesitate, leading to worsening scenarios as they miss out on the chance to exit before potential further declines.

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Chapter 16 | HYBRID OF METHOD NO . 1 AND METHOD NO . 2| Q&A

1.Question

What is the hybrid method of trading as described in this chapter?

Answer:The hybrid method combines aspects of Method No. 1 and Method No. 2. It starts with a first trade at a measured position size with an appropriate stop loss. If this trade is successful, it is treated like any normal trade. If it fails and results in a loss, it allows for a second trade at a larger position size, assuming the MACD Platinum indicator remains favorable, thus using losses as a setup for future trades.

2.Question

How should a trader react to a losing trade according to this strategy?

Answer:A trader should accept that losing trades are part of the process. They should learn from any mistakes, remain calm, and not seek revenge on the market. After a loss, the

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trader should focus on upcoming signals and maintain a disciplined approach to their trading strategy.

3.Question

What does it mean to use a 'base lot' in this trading method?

Answer:The 'base lot' refers to the initial position size set for the first trade. This size is determined carefully to fit one's money management strategy, ensuring that the trader does not risk too much at the outset.

4.Question

Can you illustrate how the recovery process works if the first trade is a loss?

Answer:Sure! If the first trade loses 50 pips with a position size of 0.1 lots, the second trade could be set at 0.3 lots. If this second trade gains 25 pips, the trader would close 0.2 lots, recovering the 50 pip loss from the first trade. Thus, the methodology focuses on gradual recovery without risking excessive losses.

5.Question

What crucial factor should always be considered when

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employing the hybrid trading method?

Answer:Money management is crucial when deciding the position size for the first trade and subsequently future trades. Each decision should be made with careful consideration to avoid getting into excessive risk.

6.Question

What mindset should traders adopt after experiencing a loss?

Answer:Traders should cultivate a mindset that allows them to learn from losses without emotional attachment. It's important to move forward positively, forgetting the loss and preparing for the next trading opportunity.

7.Question

How does this method aim to reduce the stress of trading?

Answer:By having a structured approach to losses and recovery, the hybrid method helps traders mitigate emotional stress. Instead of getting anxious about a single loss, traders can focus on executing their strategy and preparing for subsequent opportunities in a calculated manner.

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8.Question

What does it mean to 'put it out of your mind' after a loss?

Answer:This means that after a trader evaluates and learns from their loss, they should not dwell on it or let it affect their future trading decisions. Instead, they should focus on upcoming signals and maintain momentum in their trading practice.

9.Question

How important is careful position sizing in this hybrid method?

Answer:Careful position sizing is extremely important because it directly impacts a trader's ability to manage risk effectively. It ensures that the trader does not expose themselves to high losses at any given time, allowing for sustainability in trading.

Chapter 17 | MANAGING MULTIPLE TRADES| Q&A

1.Question

What is the significance of FIFO rules in managing

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multiple trades?

Answer:FIFO, or First-In-First-Out, rules dictate that trades must be closed in the same order they were opened, which can limit flexibility in managing trades. Understanding this rule is crucial for traders using US brokers as it impacts how they strategize their exits, particularly when dealing with multiple open positions.

2.Question

How does leverage impact trading decisions, particularly for US based traders?

Answer:The limitation of 50:1 leverage for US traders helps prevent them from taking excessively large positions that could jeopardize their accounts. This is a double-edged sword; while it protects novices from devastating losses, it may also limit experienced traders who wish to take larger positions.

3.Question

What is the purpose of a demo trading platform when

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selecting a broker?

Answer:A demo trading platform allows new traders to familiarize themselves with a broker's system and tools without risking real money. This is essential not only for practicing trading strategies but also for understanding the broker’s specific requirements and features before committing actual funds.

4.Question

How can hedging be utilized effectively when managing multiple trades?

Answer:Hedging involves placing trades in the opposite direction to offset potential losses from existing positions. This is only advisable in certain market conditions, and it requires careful planning, as you will have to eventually reconcile your positions. Utilizing methods like custom Excel spreadsheets can help track overall positions and breakeven prices.

5.Question

What benefits do custom Excel spreadsheets provide for

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managing trades?

Answer:Custom Excel spreadsheets can organize multiple trades and calculate overall breakeven prices, aiding traders in decision-making regarding stop placements and overall strategy. They allow traders to visualize their positions systematically and make adjustments as needed.

6.Question

What is a hot tip for traders managing multiple trades and using Method No.2?

Answer:If the MACD Platinum crosses the zero level, it is crucial to move all stops to overall breakeven or consider exit options. This proactive approach can prevent significant losses if trades begin to move against the trader's positions.

7.Question

Why is it important to be cautious with many open trades in one direction?

Answer:Being heavily invested in one direction can be risky, especially if the market shows signs of indecision. It is better to exit at breakeven if the market isn’t moving significantly

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in your favor, rather than holding onto multiple losing trades.

8.Question

What mindset should traders adopt when faced with uncertain market conditions?

Answer:Traders should practice patience and remain open to reassessing their strategies. The market will always present new trading opportunities, and staying disciplined can prevent premature or emotional exits.

Chapter 18 | CONCLUSION| Q&A

1.Question

What is the most important takeaway from this chapter regarding developing your own trading system?

Answer:The most important takeaway is to create a personalized trading framework based on the insights provided in the chapter, adapting strategies to your risk tolerance and preferred trading pairs. Start with Method No.1 for safety, practice on a demo account, and emphasize money management throughout your trading journey.

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2.Question

Why is money management particularly stressed in Method No.2?

Answer:Money management is critical in Method No.2 due to the higher risks involved, requiring traders to manage their positions effectively to safeguard against significant losses. It ensures that traders can protect their capital while engaging in more aggressive trading strategies.

3.Question

How can traders identify potential trading opportunities using this method?

Answer:Traders can identify potential trading opportunities by determining the major trend and using the MACD Platinum dots for trade identification and QMP Filter dots for confirmation. This approach simplifies the process and reveals numerous opportunities across various charts and timeframes.

4.Question

What steps should a new trader take to start applying this trading method?

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Answer:New traders should start by practicing on a demo account using Method No.1, focusing on individual trades. They should familiarize themselves with the indicators and gradually refine their strategies before transitioning to a live account.

5.Question

How can traders stay informed about updates to the indicators and methods?

Answer:Traders can stay informed about updates by subscribing to Jim's email notifications, which will provide updates on indicator enhancements and promotional events related to his materials.

6.Question

What resources are available for traders to download and learn about this trading method?

Answer:Resources available include downloadable packages for MT4/MT5 and TradingView, instructional videos for file uploads, and access to a supportive Facebook group for further discussions and assistance.

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7.Question

What is the benefit of joining Jim's Facebook group for traders?

Answer:Joining Jim's Facebook group offers traders a community for support, as well as direct access to discussions about the trading methods, sharing experiences, and obtaining timely updates and assistance.

8.Question

What should a trader do if they encounter difficulties accessing the downloadable files?

Answer:If a trader encounters difficulties accessing the files, they should not hesitate to reach out via the provided email for assistance, keeping in mind that responses may vary due to time zone differences.

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Chapter 1 | CUSTOM INDICATORS REQUIRED| Quiz and Test

1. Custom indicators are only necessary for advanced traders.
2. Moving Averages are included in the trading method and are part of the downloadable package.
3. Instructions for loading indicators are not provided in the book, leaving readers to figure it out on their own.

Chapter 2 | MY THOUGHTS ABOUT INDICATORS| Quiz and Test

1. All indicators lag and should be dismissed entirely in Forex trading.
2. Critics of indicators always rely solely on price action for trading signals.
3. Effective trading strategies can differ significantly between traders based on their unique perspectives and methods.

Chapter 3 | TRADING WITH THE TREND AND TREND IDENTIFICATION| Quiz and Test

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1. Successful trading strategies often involve trading against the trend for better outcomes.
2. To identify major trends, it is recommended to use three Moving Averages: 50 EMA, 100 EMA, and 240 LMA.
3. Using the QMP Filter can enhance trade reliability, especially in longer time frames.

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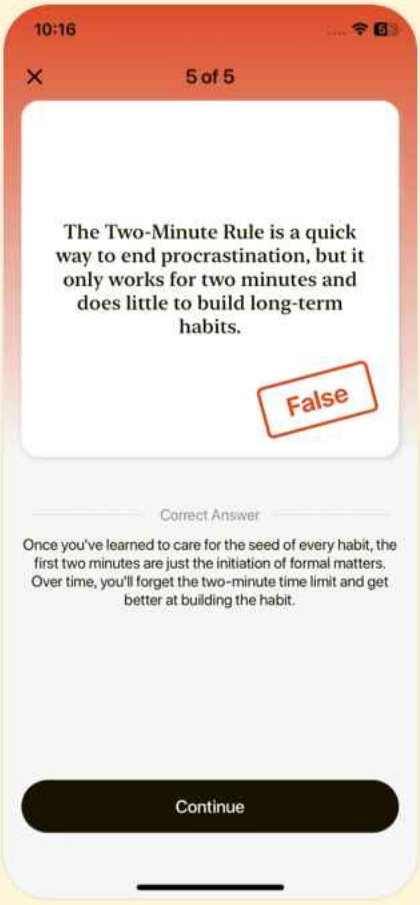
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Chapter 4 | WHAT YOUR CHART SHOULD LOOK LIKE| Quiz and Test

1. To see the yellow arrows on the chart, the Higher Time Frame Filter must be set to 'None'.
2. If the Moving Averages are stacked upwards and aligned with an upward yellow arrow, you should focus on buy trades.
3. A downward yellow arrow corresponds to a blue dot on the Daily chart.

Chapter 5 | LOOKING FOR TRADE ENTRIES| Quiz and Test

1. In an uptrend, a buy trade is executed when a QMP Filter blue dot is confirmed at candle closure.
2. In a downtrend, you should look for blue dots on the MACD Platinum above the zero level to signal a sell trade.
3. The chapter emphasizes that the method ensures successful trades and is infallible for all market conditions.

Chapter 6 | METHOD NO . 1 (LOWER RISK)| Quiz and Test

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1. The trading method described in the summary focuses on executing buy and sell signals against market trends.
2. Money management strategies include placing stops at strategic points based on personal analysis.
3. The MACD Platinum indicator is not useful during flat or indecisive market conditions.

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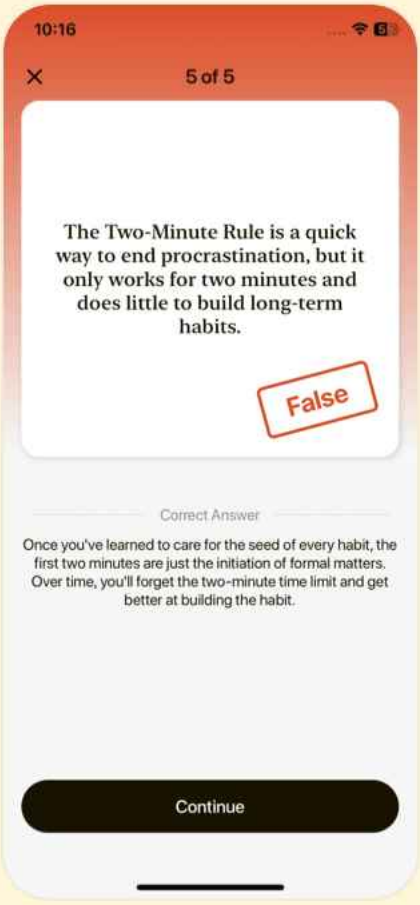
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Chapter 7 | METHOD NO . 2 (HIGHER RISK)| Quiz and Test

1. Method No. 2 is a low-risk trading strategy that requires weak money management skills.
2. Traders using Method No. 2 should set a hard stop loss for their initial trade.
3. Using this high-risk method is advised only with the trend or after confirming Hidden Divergence.

Chapter 8 | THE THEORY BEHIND THE METHOD| Quiz and Test

1. The MACD Platinum indicator does not tend to revert to the zero level after moving away from it.
2. Traders should stick to a single trading method for developing comfort and expertise.
3. Different currency pairs exhibit the same level of volatility and trends.

Chapter 9 | THINGS TO CONSIDER USING METHOD NO . 1 (LOWER RISK)| Quiz and Test

1. Trading signals are more reliable when the price is far from moving averages (MAs).

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2.It is advisable to execute trades upon the break of trend lines.

3.The author recommends using candle wicks/shadows for drawing trend lines.

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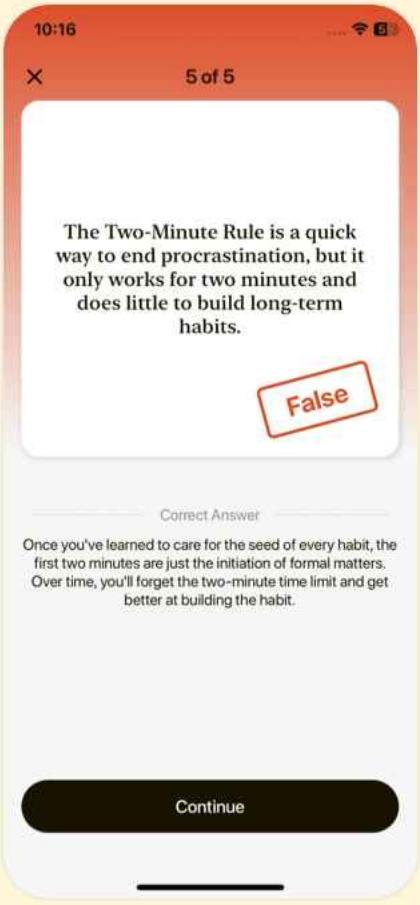
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Chapter 10 | DIVERGENCE| Quiz and Test

1. Divergence is an important concept in Forex trading that indicates a disconnection between actual price movements and the MACD Platinum indicator.
2. There are three types of divergence mentioned in the chapter that traders should focus on.
3. It is suggested that traders should seek additional confirmation before acting on divergence signals.

Chapter 11 | TRADE MANAGEMENT AND EXIT| Quiz and Test

1. Trade entry is more important than trade management and exit strategies.
2. Traders should avoid learning from their mistakes to enhance their focus on profits.
3. It is recommended to risk 1% to 2% of the account balance on individual trades for money management.

Chapter 12 | RE - ENTRIES AND USE OF TREND LINES| Quiz and Test

1. Traders should completely avoid re-entries after

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being stopped out of a trade.

2.A Buy Stop Order is placed when the current price is above the desired entry point.

3.Market Orders are executed immediately at the current price.

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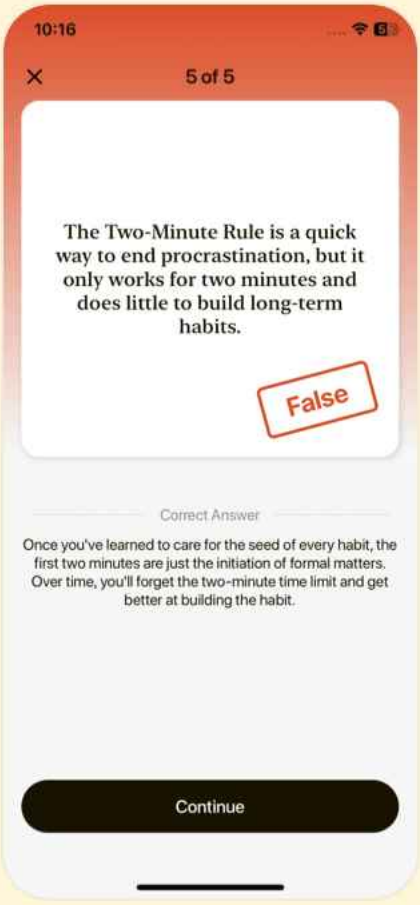
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Chapter 13 | WHEN TO EXIT A TRADE| Quiz and Test

1. Traders should always exit a trade once a predetermined profit level is reached.
2. MACD Platinum is an effective tool used by traders to determine potential exit points.
3. Scaling out of trades means closing the entire position immediately after hitting the profit target.

Chapter 14 | SHORTER TIME FRAME TRADING| Quiz and Test

1. Shorter time frame trading, like 5 minute charts, is best conducted during specific times of the day, particularly during the London or US sessions.
2. Using higher time frame charts is generally advised for more profitable trading with less effort than lower time frame charts.
3. The Forex Factory Calendar is a tool to track minor news events that do not significantly affect currency trading.

Chapter 15 | TRADE POSITION SIZE| Quiz and Test

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1. Starting with small lot sizes is recommended for beginners to gain experience in Forex trading.
2. The method of taking multiple trades in the same direction inherently reduces risk, making it safer for all traders.
3. Trading on longer time frames allows for better analysis and strategic planning compared to trading on smaller time frames.

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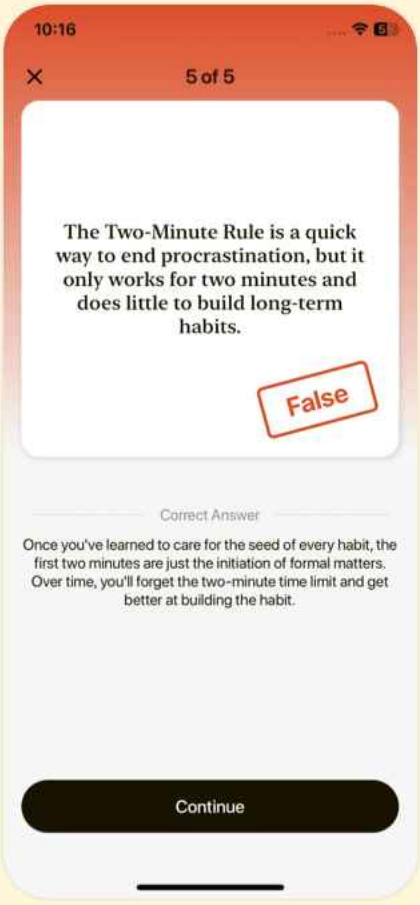
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Chapter 16 | HYBRID OF METHOD NO . 1 AND METHOD NO . 2| Quiz and Test

1. The hybrid approach combines Method No.1 and Method No.2 for forex trading, allowing for an effective way to manage trades and recover from losses.
2. A trader should increase their position size to recover losses regardless of previous trade success.
3. It is important to accept losses as part of trading without seeking revenge on the market.

Chapter 17 | MANAGING MULTIPLE TRADES| Quiz and Test

1. US brokers are required to follow FIFO rules when managing multiple trades.
2. Traders can hold both buy and sell positions on the same currency pair simultaneously according to US broker rules.
3. A custom Excel spreadsheet can help in managing trades by automatically calculating the overall position and breakeven price.

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Chapter 18 | CONCLUSION| Quiz and Test

1. The chapter emphasizes that trading strategies should be strictly followed without adaptation to individual styles.
2. Method No.1 is recommended for beginners to start trading on a live account right away.
3. Money management is an important aspect particularly highlighted in Method No.2.

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